



Economy

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AIM TO EMPOWER YOU NOT TO MAKE YOU DEPENDENT

ECONOMY INDEX

Sl.No.

Topic

1. **Basic Concepts of Economy**
2. **Planning**
3. **Fiscal Policy**
4. **Monetary Policy and Banking**
5. **Banking System in India**
6. **Taxation**
7. **Financial Markets**
8. **Inflation**
9. **Poverty**
10. **Unemployment**
11. **Agriculture**
12. **Industry and Infrastructure**
13. **Balance of Payments (BOP)**
14. **Foreign Investment**
15. **Economic Integration**
16. **WTO: Evolution and Contemporary Issues**
17. **Reports and Indices**
18. **Market Structure**
19. **Important Graphs & Miscellaneous**

1. Basic Concepts of Economy

Economics is a social science concerned with the production, distribution and consumption of goods and services

Branches of Economics:

Major branches of economics

Microeconomics - deals with the behaviour of individual actors like households, businesses etc	Macroeconomics- deals with the economy as a whole and its features like employment, national income, poverty etc	Mesoeconomics- deals with the intermediate level For instance the sectors of the economy- electronics, infrastructure etc although it is a relative term
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Economic Agents:

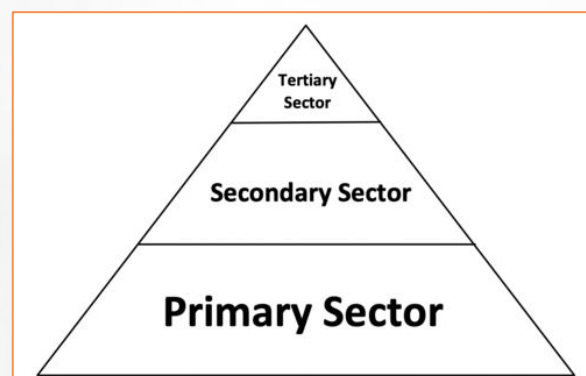
Individuals or institutions that take economic decisions, may be – Consumers, Government, Corporations, Banks etc.

Role of State in an Economy:

Adam Smith	John Keynes	Liberals & Neoliberals
- Classical economy - If buyers and sellers can make decision based on Individual selfinterest, it automatically ensures welfare of country. - The state shall not intervene in the economy. - Ex: Laissez faire economies in 17th, 18th centuries - Could not address great depression (1929)	- Need for state intervention at macro scale - Ex: New Deal program in USA to deal with Great dep	- Minimal state intervention in an economy - Ex: IMF, world bank policies

- Socialists believe larger part of economic resources should be in government hands to achieve socio economic objectives.
- Nehruvian socialism private and public sector
- Mao's socialism dominance of public sector Gandhian Economics ideas that
- Gandhi propounded for economic management and distribution

Structural Composition of an Economy:



- Primary sector:** Describes all industries that are engaged in the extraction of natural resources or the production of raw materials. Ex: Farming, Fishing, Mining etc.
- Secondary sector:** It includes all industries that are concerned with the manufacturing of usable products or finished goods. Ex: Heavy Industry (steel, chemical, automotive) and Light Industry (food, apparel, cosmetics) etc.
- Tertiary sector:** Describes all industries that provide services to other businesses or final consumers. Ex: Retail, Healthcare, Insurance
- Quaternary sector:** It includes all industries that are concerned with the creation and distribution of knowledge. Ex: Research and development, Education etc.
- Quinary sector:** Highest levels of decision making in an economy.

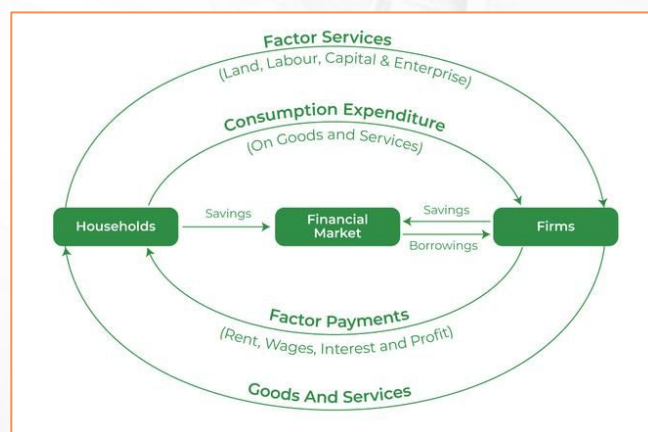
Formal and Informal sectors in the economy:

- **Formal Sector**– This sector is one that is registered with the government, and they are regulated by many government laws like companies act, factories act.
- **Informal Sector**– The unorganised sector refers to those enterprises whose activities or collection of data is not regulated under any legal provision or do not maintain any regular accounts Ex: Farmers, landless labourers, street vendors etc.

Types of Goods:

- **Intermediate good**: An item used by other producers as material input for production Ex: Rubber used for tyres.
- **Final goods**: An item that is meant for final use and will not pass through any more stages of production or transformations. Ex: Car.
- **Consumer goods**: Goods that are consumed when purchased by their ultimate consumers. Ex: Clothes
- **Capital goods**: Goods which are of durable character used in the production process like tools, machines.
- **Luxury good**: As income increases, demand for certain goods increases. Ex: Gold
- **Complementary goods**: Goods which are used together. Ex: TV and DVD player, Pen and refill etc
- **Substitute goods**: Goods which are alternatives. Ex: Tea and coffee
- **Veblen Snob good**: A good where an increase in price encourages people to buy more of it. This is because they think more expensive goods are better. Ex: Diamonds, limited edition cars etc
- **Giffen good**: Demand goes up as and when prices increase, it's a Symbol of status.
- **Public good**: Non rival consumption (one's consumption does not diminish them for others) non-excludable. Ex: park, defence etc
- **Private goods**: Is both rival (ex: club membership) and excludable (if I own a house, others cannot use it).
- **Merit goods**: Have positive externalities ex: health, education
- **Demerit goods**: Have negative externalities. Ex: Alcohol, cigarettes etc

Circular flow in a simple economy Measurement of economic growth:



National Income Accounting

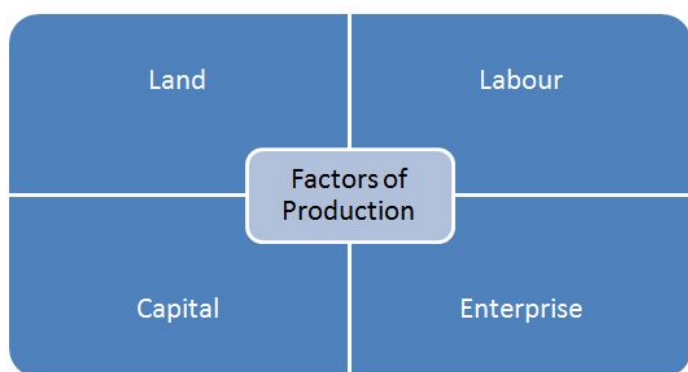
- It refers to a set of rules and techniques that are used to measure the output of a country.

Measurement of Economic Growth

- Economic growth is the increase or decrease in the value of goods and services produced in an economy
- National income is the aggregate money value of all incomes earned by individuals and enterprises.
- Gross investment is that part of our final output that comprises of capital goods.
- Net Investment Gross investment– Depreciation
- Depreciation: Subtraction from gross investment to accommodate wear and tear of capital.
- GDP (Gross Domestic Product) is the total market value of all final goods and services produced within the geographic boundaries of a country during a specified period of time, normally a year.
- Nominal GDP refers to current year production of final goods and services. It is not corrected for inflation.
- Real GDP refers to current year production of goods and services valued at base year prices. Real GDP is corrected for inflation.
- GDP Deflator Measure of inflation calculated as the ratio of GDP at current prices to GDP at constant prices.
- Base year: it is a year in which prices are constant, not much fluctuating.

- **Gross National Income (GNI):** it is the aggregate value of the gross balances of primary income of all resident institutional units.
- **Market price (MP)** refers to actual transacted price and includes indirect taxes.
- **Factor cost (FC)** refers to actual cost of production it includes government grants and subsidies but excludes indirect taxes.
- **Transfer payment** is the payment by the government in grants, allowances, pensions etc. to people such as pensioners, widows, sick or unemployed people or others with little or no income. include subsidies government. It does given not by
- **Ex: PM KISAN amount transfer**

Factors of Production in an Economy



$GDP@FC = GDP@MP - \text{indirect taxes} + \text{subsidies}$
 $NDP@FC = GDP@FC - \text{depreciation}$
 $\text{National income (NNP@FC)} = GNP @MP - \text{depreciation}$
 $GDP@MP = GNP @ MP - \text{net income from abroad}$
 $GNP @ FC = GNP @ MP - \text{net indirect taxes}$
 $NDP @MP = NNP@MP - \text{net income from abroad}$
 $NNP @FC = NNP @MP - \text{indirect taxes}$

Note: $GDP @ MP = GNP @ MP - \text{net income from abroad or income earned from abroad.}$

Income earned from abroad includes,

1. Trade balance (negative) Exports Imports
2. Interest of external loans-Net output w.r.t interest payments (negative)
3. Private remittances (positive)

Therefore, $GNP = GDP + (1+2+3)$ as 1 and 2 are negative $GNP < GDP$ (1+2+3) i.e., $GNP < GDP$

Three methods of National Accounting

- **Expenditure method:** Measuring the aggregate value of spending that the firms receive for the final goods and services which they produce.
- **Product method:** Measuring the aggregate value of final goods and services produced by all the firms.
- **Income method:** Measuring the sum total of all factor payments.

3 Methods Of Calculating National Income

Income Methods	Out Put Method	Expenditure Method
$\text{Gross Domestic Income} + \text{Net Income from Overseas} = \text{Gross National Income}$ $\text{Depreciation} =$	$\text{Gross Domestic product} + \text{Net Income from Overseas} = \text{Gross National Product}$ $\text{Depreciation} =$	$\text{Gross Domestic Expenditure} + \text{Net Income from Overseas and Exports Imports} = \text{Gross National Expenditure} + \text{Subsidies} - \text{tax}$ $\text{Gross National Expenditure Depreciation} =$
Net National Income = Net National Product = Net National Expenditure		

Gross Value Added

Gross value added (GVA) is an economic productivity metric that measures the contribution of a corporate subsidiary, company or municipality to an economy, producer, sector or region.

$GDP = GVA + \text{taxes on products} - \text{subsidies on products}$
 $GVA = GDP - \text{indirect taxes}$

Difference between GDP and GNP

Gross Domestic Product (GDP)	Gross National Product (GNP)
It is the value of a nation's final domestic goods and services during a specific time period.	It is the value of all finished goods and services owned by a country's residents over a period of time.
GDP: Consumer spending + Government spending + Investments + Net exports.	GNP: GDP+ NR (Net receipts from abroad or inflows from abroad) – NP (Net payment outflow to foreign assets) .
Application: To see the strength of country's local economy .	Application: To see how the nationals of a country are doing economically .
GDP is the most commonly used by global economies.	GNP is not used much by global economies.

Difference between GDP and GVA

Gross domestic product (GDP)	Gross Value Added (GVA)
It the sum of private consumption, gross investment in the economy, government investment, government spending and net foreign trade (difference between exports and imports)	It provides the rupee value for the amount of goods and services produced in an economy after deducting the cost of inputs and raw materials that have gone into the production of those goods and services.

New GDP Series 2011-12

- Change of base year – 2004-05 to **2011-12**
- Change in GDP calculation to using market prices rather than factor costs.
- Adopted the international practice of valuing industry-wise estimates as gross value added (GVA) at basic prices.

GDP Back Series

- An expert committee set up by National Statistical Commission (NSC) released recently the report on back series GDP data.
- The back-series data provides the earlier years' data using the new calculations.
- It helps in understanding the economy, its size, growth rate more accurately

Gross Capital Formation (GCF)

- The percentage of the investment made each year out of the total GDP is called Gross Capital Formation
- **High GCF denotes higher rate of savings in the economy** which is required for high rate of production, capital formation, changes in production techniques
- GCF includes capital formation in public sector, private sector and also household sector

CSO vs NSSO

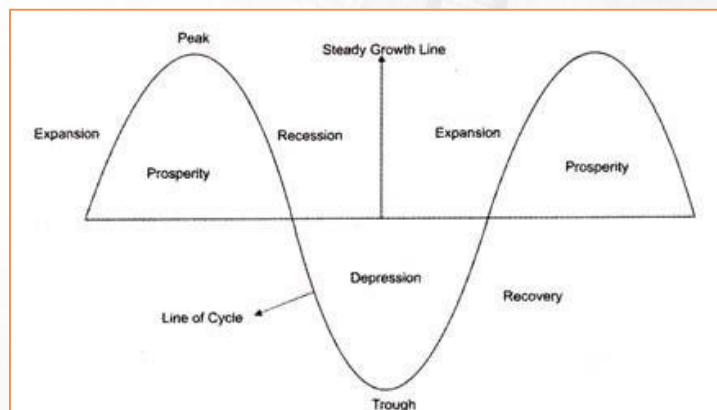
Central Statistical Office (CSO)	National Sample Survey Office (NSSO)
It is responsible for coordination of statistical activities in the country and for evolving and maintaining statistical standards.	It is responsible for conducting socio-economic surveys.
Its activities include compilation of National Accounts; conduct of Annual Survey of Industries and Economic Censuses, compilation of Index of Industrial Production, as well as Consumer Price Indices	The surveys on Consumer Expenditure, Employment – Unemployment, Social Consumption (Health, Education etc.), Manufacturing Enterprises, and Service Sector Enterprises are carried out once in 5 years by them.
It also deals with various social statistics training, international cooperation, Industrial Classification etc.	The survey of Land and Livestock Holding and Debt and Investment are carried out once in 10 years.

MOSPI has merged the CSO and NSSO into National statistical office (NSO).

Note: National statistical commission established in 2006, based on Rangarajan commission, oversees statistical works in India.

Business Cycle

The business cycle describes the rise and fall in production output of goods and services in an economy. Business cycles are generally measured using the rise and fall in real gross domestic product (GDP) or GDP adjusted for inflation.



Characterized by four stages

- Depression
- Recovery
- Boom
- Recession

Depression : A depression is a severe and prolonged downturn in economic activity. It is as an extreme recession that lasts three or more years or leads to a decline in real gross domestic product (GDP) of at least 10 percent.

Ex: The Great Depression of 1930

Recovery: Upturn in aggregate demand in turn lead to increase in production level and new investments. Increase in inflation, Unemployment rate starts declining.

To recover an economy, governments go for tax breaks, interest cuts, an increase in the salaries etc.

Boom: Accelerate and prolonged increase in the demand, it exceeds sustainable production, economy heats up and faces structural problems, demand and supply Disequilibrium.

Economic Recession is a period of general economic decline and is typically accompanied by a drop in the stock market, an increase in unemployment, and a decline in the housing market.

- When a slowdown leads to negative growth it is recession.
- It is less severe than a depression.

Double-Dip-Depression: A recession followed by a short-lived Recovery and followed by another recession. GDP growth sliding back to negative after two positive growths.

Economic Slowdown- A situation in which GDP growth slows but does not decline. For example, if GDP goes from 5% growth to 3% growth, an economy is experiencing a slowdown.

In November 2020, RBI in its bulletin said that India has entered a 'Technical Recession' in first half of 2020-21 for first time in its history.

Terminologies With Respect To Recession:

- **Expansionary Phase:** When the overall output of goods and services (measured by GDP) increases from one quarter to another, the economy is said to be in expansionary phase
- **Recessionary Phase:** When the overall output of goods and services (measured by GDP) decreases from one quarter to another, the economy is said to be in recessionary phase. In this phase, the GDP contracts from one quarter to another.
- **Business cycle:** In an economy, the expansionary phase and recessionary phase together are called a "business cycle"
- **Technical Recession:** It is often considered a recession to be in progress when real GDP has declined for at least two consecutive quarters in order to get around the empirical technicalities associated with the recession

Recovery - Economic recovery is the business cycle stage following a recession that is characterized by a sustained period of improving business activity.

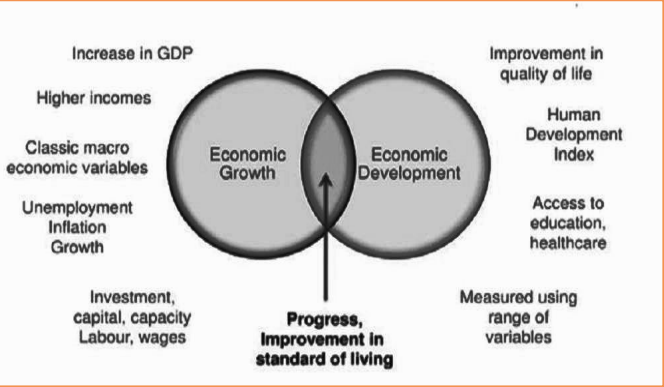
Types of Economic Recovery:

Recovery Type	Features	Graph
Z shaped	It is the most-optimistic scenario in which the economy quickly rises after an economic crash. Z shaped In this economic disruption lasts for a small period wherein more than people's incomes, it is their ability to spend is restricted.	

Recovery Type	Features	Graph
V shaped	Here the economy quickly recoups lost ground and gets back to the normal growth trend-line. In this, incomes and jobs are not permanently lost, and the economic growth recovers sharply and returns to the path it was following before the disruption.	V-Shaped Recovery
U shaped	In this, the economy, after falling, struggles around a low growth rate for some time, before rising gradually to usual levels. GDP In this case several jobs are lost and people fall upon their savings.	U-Shaped Recovery
W shaped	It is a dangerous creature. In this, growth falls and rises, but falls again before recovering, thus forming a W-like chart. The double-dip depicted by a W-shaped recovery can be due to the second wave of the pandemic.	W-Shaped Recovery

Recovery Type	Features	Graph
L shaped	In this, the economy fails to regain the level of GDP even after years go by. The shape shows that there is a permanent loss to the economy's ability to produce	L-Shaped Recovery Economy never fully recovers
J shaped	It is an unrealistic scenario. The growth rises sharply from the lows much higher than the trend-line and stays there	J-Shaped Recovery Bounce back after initial over-correction Slow growth as many industries face ongoing restrictions Growth accelerates as business adapts & labor market heals
K shaped	A "K-shaped" recovery is somewhere between a "V" and "L", depending on type of employment K shaped economic recovery, which allows workers at the top to prosper while sending working class American into further debt	K-shaped recovery Business cycle peak Recession trough Average GDP Some parts of the economy recovering Some parts stagnating or sinking

Growth vs Development



GDP, GVA, GNP all measure the quantitative growth while neglecting the Qualitative Progress.

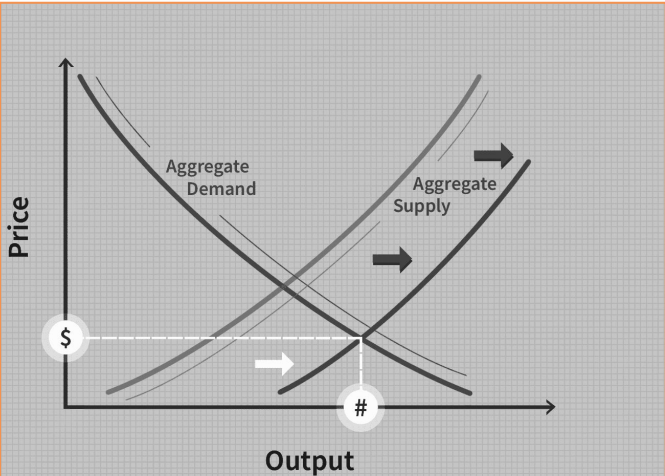
Hence following indices were brought as alternative to measure growth.

- Human Development Index- HDI
- Inequality Adjusted HDI
- Social Progress Index
- National Happiness Index
- Green GDP

Demand and Supply Side Economics

Demand side economists	Supply side economists
Emphasizes boosting aggregate demand to stimulate economic growth.	Emphasizes enhancing aggregate supply and production capacity to drive economic growth.
Rooted in Keynesian economics, advocating for government spending and lower taxes during downturns.	Based on classical economics, advocating for tax cuts and deregulation to increase production efficiency.

Demand side economists	Supply side economists
Uses fiscal policy such as stimulus packages and increased government expenditure.	Uses tax reductions, deregulation, and incentives for investment and innovation.
To reduce unemployment and spur economic activity by increasing consumer and business spending.	To improve productivity and economic growth by increasing the efficiency of supply-side factors.
Implementing economic stimulus plans to boost consumption during a recession.	Cutting corporate taxes to encourage business investment and expansion.



2. Planning

A five-year plan formed the most basic unit of planning in India. Efforts towards economic planning in India began even prior to independence.

National Planning Committee (1938)

Subhas Chandra Bose set up National Planning Committee in 1938 under the chairmanship of J.Nehru.

The Bombay Plan (1944)

In 1944 Eight Industrialists of Bombay viz. Mr. JRD Tata GD Birla, Purshottamdas Thakurdas, LalaShriram, Kasturbhai Lalbhai, AD Shroff, Ardeshir Dalal, & John Mathai working together prepared what is known as "Bombay Plan". It recommended a substantially interventionist state and an economy with a sizeable public sector.

Gandhian Plan (1944)

This plan was drafted by S.N. Agarwal, principal of Wardha Commercial College. It emphasized the economic decentralization with primacy to rural development by developing the cottage industries

People's Plan (1945)

People's Plan (1945) was drafted by MN Roy. It gave equal importance to both agriculture and industries. This plan was for ten years. It recommended nationalization of all agriculture and production.

Sarvodaya Plan (1950)

Sarvodaya Plan as drafted by Jaiprakash Narayan. This plan itself was inspired by Gandhian Plan and Sarvodaya Idea of Vinoba Bhave. This plan emphasized on agriculture and small and cottage industries.

Five-year plans after independence

The concept of economic planning in India is derived from the Russia (then USSR). India has launched 12 five year plans so far. First five-year plan was launched in 1951.

Plan	Years	Focus	Presented By	Economist/Key Figure	Target Growth Rate	Achieved Growth Rate	Key Policies/Initiatives
1ST FYP	1951-56	Economic development, agrarian sector	Jawaharlal Nehru	K.N. Raj ("hasten slowly")	2.1%	3.6%	Investment in dams and irrigation (e.g., Bhakra Nangal Dam); Five Indian Institutes of Technology
2ND FYP	1956-61	Rapid industrialisation, public sector	P.C. Mahalanobis	-	4.5%	4.27%	Tariffs on imports to protect domestic industries

Plan	Years	Focus	Presented By	Economist/Key Figure	Target Growth Rate	Achieved Growth Rate	Key Policies/Initiatives
3RD FYP	1961-66	Agriculture, wheat production	-	-	5.6%	2.4%	States given additional responsibilities; Panchayat elections
4TH FYP	1969-74	Growth with stability, self-reliance	Indira Gandhi	-	5.6%	3.3%	Nationalisation of 14 major banks; Green Revolution; Drought Prone Area Programme
5TH FYP	1974-78	Employment increase, poverty alleviation ("garibi hatao")	-	D.P. Dhar (Minimum Needs Programme)	4.4%	4.8%	Electricity Supply Act amendment; Indian National Highway System
Rolling Plan	1978-80	Period of instability; evaluated annually	-	-	-	-	Annual evaluations with updated allocations and targets
6TH FYP	1980-85	Economic liberalisation, end of Nehruvian Socialism	-	-	5.2%	5.7%	Elimination of price controls; family planning; establishment of NABARD
7TH FYP	1985-90	Industrial productivity, technology use, economic productivity	Rajiv Gandhi	-	5.0%	6.01%	-
Annual Plans	1990-92	Economic instability, foreign exchange reserve crisis	-	P.V. Narasimha Rao	-	-	Introduction of Liberalisation, Privatisation, Globalisation (LPG)

Plan	Years	Focus	Presented By	Economist/Key Figure	Target Growth Rate	Achieved Growth Rate	Key Policies/Initiatives
8TH FYP	1992-97	Modernisation of industries, poverty reduction	-	-	5.6%	6.8%	India joined WTO; focus on infrastructure development and decentralisation
9TH FYP	1997-2002	Elimination of poverty, public-private collaboration	Atal Bihari Vajpayee	-	7.1%	6.8%	Empowerment of disadvantaged classes; primary education for all
10TH FYP	2002-07	Inclusive growth, equitable development	-	-	8.1%	7.6%	Poverty reduction; employment creation; regional inequality reduction
11TH FYP	2007-12	Higher education enrolment, environmental sustainability	-	-	9%	8%	Clean drinking water provision; Right to Education Act
12TH FYP	2012-17	Faster, inclusive, sustainable growth	-	-	9%	8%	Strengthening infrastructure; green cover enhancement; removal of gender and social gaps in school admission

NITI Aayog:

Government scrapped Planning commission and, in its place, it has introduced **NITI Aayog**.

NITI Aayog Composition:

- **Prime Minister of India as the Chairperson.** Vice-chairperson to be appointed by the PM.
- **Governing Council** comprising the Chief Ministers of all the States and Lt. Governors of Union Territories.
- **Experts, specialists and practitioners** with relevant domain knowledge as special invitees nominated by the Prime Minister.
- **Regional Councils** will be formed to address specific issues and contingencies impacting more than one state or a region.

Aspect	NITI Aayog	Planning Commission
Chairperson	Prime Minister	Prime Minister
Vice-Chairperson	Appointed by the Prime Minister	Deputy Chairman (Nominated, Cabinet Rank)
Governing Council	Chief Ministers (CMs) and Lieutenant Governors (LGs)	National Development Council (NDC)
Member Secretary	Known as the CEO, appointed by the Prime Minister	Secretaries or member secretaries were appointed through the usual process
Part-time Members	To have part-time members depending on the need	No provision for part-time members
Full-time Members	Fewer than Planning Commission	Last commission had 8 full-time members

3. Fiscal Policy

Fiscal Policy is that part of government policy concerned with raising revenue through taxation and spending for socio economic development.

Objectives of fiscal policy:

- Growth
- Equity
- Holistic development of all sectors of economy
- Employment
- Export promotion
- Labour intensive growth
- Sustainability

Aspect	Monetary Policy	Fiscal Policy
Tool	Interest rates	Tax and government spending
Effect	Cost of borrowing/mortgages	Budget deficit
Distribution	Higher interest rates hit homeowners but benefit savers	Depends on which taxes are raised.
Exchange Rate	Higher interest rates cause appreciation	No effect on exchange rate
Supply-side Impact	Limited impact	Higher taxes may affect incentives to work
Politics	Set by an independent Central Bank	Changing tax and government spending is highly political
Liquidity Trap	Cuts in interest rates may not work	Fiscal policy is advised in very deep recessions

Types of Fiscal Policy:

Fiscal Policy Type	Action	Effect
Expansionary Fiscal Policy		
	Lower Taxes	Decreasing taxes increases savings and available funds for spending, leading to higher consumer and business purchases. Demand increases.
	Increase Government Spending	Increasing government spending provides funds for consumers and businesses to purchase goods and services. Demand increases.
Contractionary Fiscal Policy		
	Raise Taxes	Increasing taxes decreases the money available for spending, leading to reduced consumer and business expenditures. Demand decreases.
	Decrease Government Spending	Decreasing government spending reduces the funds available for consumers and businesses to purchase goods and services. Demand decreases.

- **Revenue budget:** Revenue budget includes income and expenditure for the year and those that will be incurred regularly in the running of businesses. Ex: sales, purchase, salaries, wages and rent.
- **Capital budget:** A capital budget estimates inflows and outflows on account of capital expenses. Capital expenses mean those expenses which will be incurred for asset creation. Ex: plant & machinery, shares, furniture etc
- **Revenue receipts:** These are recurrent receipts. These include revenue raised from tax and non-tax sources.
- **Ex: Tax resources:** Income tax corporation tax, corporation tax, excise duty etc.
- **Non-Tax resources:** User charges, interest receipts, interest dividends etc
- **Revenue expenditure:** It does not create any assets. It is incurred on maintenance and consumption of the government. Ex: Salaries, interest payments, defence, subsidies
- **Capital account receipts:** These are money raised through borrowing (debt) or sale of assets (non-debt) Ex: Recoveries of loan; borrowing from India and abroad; disinvestment proceeds
- **Capital account expenditure:** Expenditure made for asset creation. Ex: Loans repaid, asset creation in infrastructure and social areas

Components of Budget

1. **Annual Financial Statement [Article 112]:** This document comprises the receipts and expenditures of the government of current year, previous year and budget year in three separate parts viz. Consolidated Fund of India, Contingency Fund of India and Public Account of India.
2. **Demands for Grants [Article 113]:** The estimates of expenditures are presented to Lok Sabha in the form of Demands for Grants. Ministry wise demand for grants is presented to Lok Sabha
3. **Appropriation Bill [Article 114(3)]:** The article 114(3) stipulates that no amount can be withdrawn from the Consolidated Fund of India without enactment of appropriation bill.

4. **Finance Bill [Article 110(a)]:** It is presented to enact a law for imposition, abolition, remission, alteration or regulation of taxes proposed in the Budget.

Deficits

- A deficit occurs when expenses exceed revenues, imports exceed exports, or liabilities exceed assets.
- **Revenue Deficit (RD):** It is the difference between the revenue receipts (RR) and the revenue expenditure (RE).

$$RD = RR - RE$$

- **Effective Revenue deficit (ERD):** It is defined as the difference between the revenue deficit and creation of capital assets.
- **Fiscal Deficit (FD):** It is the difference between what government earns and its total expenditure (excluding non-debt capital expenditure) FD (Revenue receipts creating non-debt creating capital receipts) - Total expenditure
- **Budget Deficit:** The difference between the total budgeted receipts and expenditure.
BD Budgetary receipt Budgetary expenditure
- **Primary deficit:** It is the difference between fiscal deficit and interest payments
PD = FD - interest payment

Deficit financing: financing of gap between government receipts and expenditure.

How does the government manage its deficits?

1. **Monetized deficit Borrowings** made from RBI through printing fresh currency. The printed money is called high power money. FRBM act disallow RBI to do this under normal conditions
2. **Ways and Means Advances (WMA):** The Reserve Bank of India gives temporary loan facilities to the centre as a banker to government against adhoc treasury bill. There is no collateral but penal interest rate is charged.

In case of state government there are two types of WMA, normal WMA are unsecured advances extended at bank rate. While special WMA are government securities. extended against

Fiscal Responsibility and Budget Management act (FRBMA), 2003

Introduction of a transparent system of fiscal management within the country to ensure fiscal stability.

It is mandated by the act that,

1. **Macro Economic Framework Statement:** It comprises an assessment of the overall growth prospects of the economy with specific underlying assumptions.
2. **Medium Term Fiscal Policy Statement (MTFP):** It is a statement that is presented in the Parliament under Section 3(2) of the Fiscal Responsibility and Budget Management (FRBM) Act, 2003.
3. **Medium Term Expenditure Framework Statement:** This document sets forth a three-year rolling target for the expenditure indicators with specification of underlying assumptions and risks involved.

FRBM ACT, 2003

- In the Fiscal Responsibility & Budget Management Act made obligatory for the govt. to reduce its RD & FD.
- Reduction beginning from 2004-05.

Year	Reduction Target	FD	RD	ERD
2004-05	-	-	-	-
2008-09	0.3% reduction in FD	3%	0.5% of GDP	-
2016-17	Targets as per FRBM Amendments	3%	1.5%	0%

Escape Clause in the FRBM Act

Escape clause refers to the situation under which the central government can flexibly follow fiscal deficit target during special circumstances.

This terminology was innovated by the NK Singh Committee on FRBM.

The government has utilised 'escape clause' under the Fiscal Responsibility and Budget Management (FRBM) Act which provides it leeway for relaxation of fiscal deficit roadmap during time of stress.

"Section 4 (2) of the FRBM Act provides for a trigger mechanism for a deviation from the estimated fiscal deficit on account of structural reforms in the economy with unanticipated fiscal implications

Fiscal consolidation: It means strengthening of government finances and includes the following,

Revenue side

- Rationalization of tax exemptions,
- Improving efficiency of tax collections
- Tax stability etc

Expenditure side

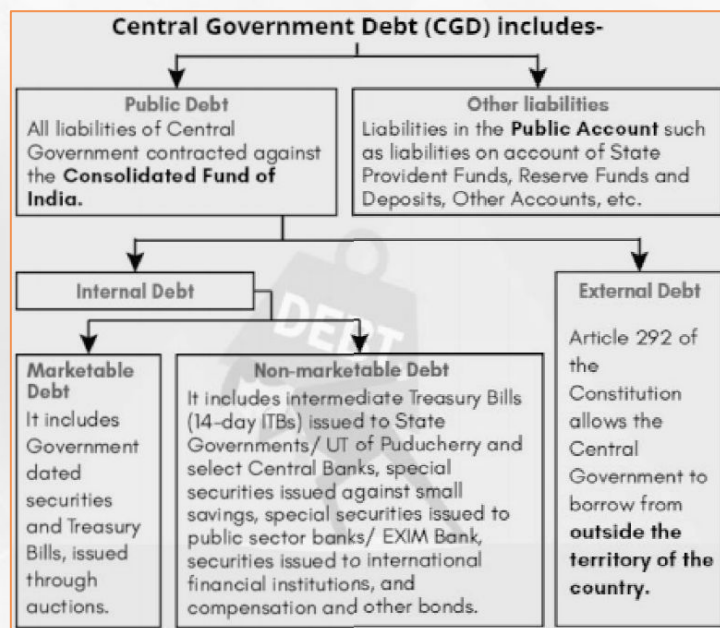
- Cutting out non-essential and unproductive activities,
- Rationalizing subsidies
- Reduce time and cost overruns etc

Government Debt

Various classification of government debt

- Government liabilities have been broadly classified as debt contracted against the Consolidated Fund of India (defined as Public Debt) and liabilities in the Public Account, called Other Liabilities.
- Public debt is further classified into internal and external debt.
- Internal debt is debt taken from sources within the country by selling of Treasury bills, loan from market.
- External debt loan from foreign countries, international financial institutions, external commercial borrowings (largest borrowing), NRI deposits, bilateral and multilateral debt, Trade credit.

- **Rupee debt:** refers to that part of India's total external debt denominated in Rupees.
- **Other Liabilities** include liabilities on account of Provident Funds, Reserve Funds Deposits, Other Accounts, etc
- **Government debt** as a percent of GDP is used by investors to measure country ability to make future payments on its debt. It affects borrowing cost and government bond yields.



Budgeting Technique	Description
Value Proposition Budgeting	A mindset about making sure that everything included in the budget delivers value for the business.
Zero-Based Budgeting	Starts with the assumption that all department budgets are zero and must be rebuilt from scratch. Aims to avoid any expenditures that are not absolutely essential to the company's successful operation.
Gender Budgeting	Encompasses the extent of spending for women's empowerment.
Outcome-Based or Performance-Based Budgeting	Refers to the practice of suggesting and listing estimated outcomes of each program or scheme designed.

Budget:

According to Article 112 of the Indian Constitution, the Union Budget of a year is referred to as the Annual Financial Statement (AFS). It is a statement of the estimated receipts and expenditure of the Government in a financial year.

Budgeting Technique	Description
Incremental Budgeting	Takes last year's actual figures and adds or subtracts a percentage to obtain the current year's budget. It is simple and easy to understand.
Activity-Based Budgeting	A top-down approach that determines the number of inputs required to support the targets or outputs set by the company.

Terminologies:

- **Fiscal drag:** It is a situation where inflation pushes income into higher tax bracket. The result is increase in income taxes but no increase in real purchasing power
- **Fiscal neutrality:** When the net effect of taxation and public spending is neutral
- **Crowding out:** Excessive government borrowing can lead to shrinkage of the liquidity in the market, it forces the interest rates to go up which in turn affect private investment.
- **Pump-priming:** Deficit financing and spending by the government on public works in an attempt to revive economy during recession
- **Twin deficit:** Worsening of both Current Account deficit (CAD) and Fiscal deficit (FD) simultaneously in the economy.

Terminologies:

- **Fiscal cliff:** The fiscal cliff refers to a combination of expiring tax cuts and across-the-board spending cuts government
- **Economic stimulus** refers to coordinated efforts to boost economic growth, especially during a recession.
- **Fiscal stimulus measures** are those enacted by government, such as lowering taxes. **Monetary stimulus measures** are produced by central banks and may include lowering interest rates
- **Sovereign Debt Crisis (SDC):** It is the term that describes the difficulties that a nation faces to service the loans it takes from the foreign sources in foreign currency.
- **State development Loans (SDL):** SDLs are debt securities auctioned by RBI to raise loans for state governments
- **Off budget financing:** This refers to expenditure that's not funded through the budget.
- For example, the government sets up a special purpose vehicle (SPV) to construct a bridge.
- The SPV will likely borrow money to build the bridge on the strength of a government guarantee.
- It is not taken into account when calculating fiscal indicators.
- Hence, Parliamentary control on such spending is also reduced.

Note: Some reforms related to budget

- Budget is preponed to 1st FEB
- Railway budget merged with general budget
- No vote on account
- Plan and non-plan expenditure removed.

Finance Commission:

- Article 280 of our constitution directs President to constitute Finance commission every 5 years to look into matter of tax devolutions

- Recently, 15th Finance Commission submitted its report. Its term has been extended by a year i.e., term= 2020-2026.

Major recommendations:

Vertical Devolution 41% 1% less than 14th commission, that 1% is devoted for the newly created Union Territories of Jammu and Kashmir and Ladakh.

Horizontal Devolution: The criteria and the weights assigned horizontal devolution are: for

- Population 15%
- Area 15%
- Forest & Ecology - 10%
- Income Distance - 45%
- Tax and Fiscal Efforts 2.5%
- Demographic Performance 12.5%

Recommendation to create a non-lapsable pool for the defence and internal security sector under the Public Accounts of India.

4. Monetary Policy and Banking

Monetary Policy is made by central bank by using interest rate and other instruments to influence money supply in the economy to achieve certain macro- economic goals.

Objectives:

1. Accelerating economic growth.
2. Price stability.
3. Exchange rate stabilization.
4. Balancing savings and investment.
5. Employment generation.

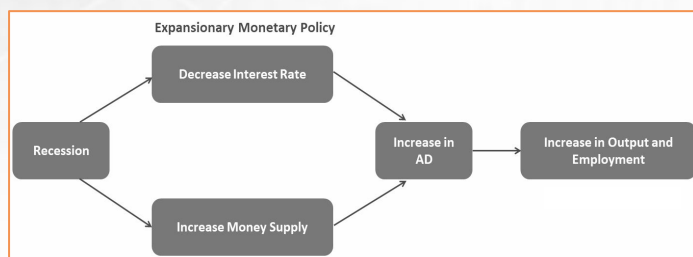
Types of Monetary Policy

EXPANSIONARY MONETARY POLICY

Problem: Recession and Unemployment

Measures:

1. Central Bank buys Securities through open market operations
2. It reduces CRR
3. It lowers Bank Rate

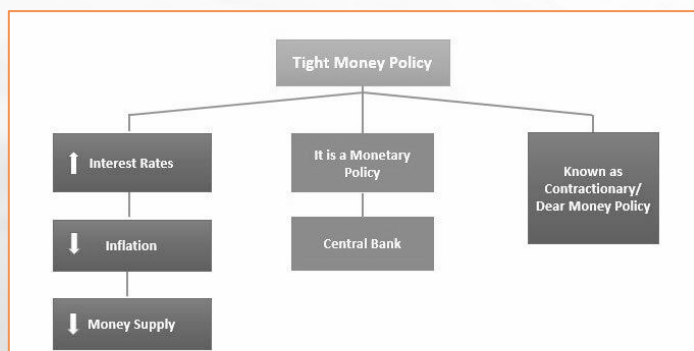


TIGHT MONETARY POLICY

Problem: Inflation

Measures:

1. Central bank sells Securities through Open market operations
2. It raises CRR and SLR
3. It raises Bank rate
4. It raises maximum margin against holding of stocks of goods



Terminologies

- **Bank Rate:** Rate at which RBI lends long term loan to commercial banks.
- It is used for managing money supply.
- **Liquidity Adjustment Facility (LAF):** LAF are used by banks for day- to-day mismatches in liquidity. RBI lends money at repo rate.
- **Repo Rate:** It is the Fixed interest rate charged by RBI while extending short term loan on the security of government bonds. Banks undertake to repurchase them same at a later date. (RBI lends to banks)
- It is used as Policy rate, which signals to the financial system to adjust their lending and borrowing operations.
- **Reverse Repo:** RBI borrows from the market on the basis of securities and repurchases them later. Rate charged by bank is called Reverse repo rate. (banks lend to RBI). It absorbs excess liquidity.
- **Marginal Standing Facility (MSF):** A window through which commercial banks can borrow from RBI at a rate greater than repo rate, which is meant to ease liquidity in the market.
- **Monetary policy Corridor:** The MSF rate and reverse repo rate determine the corridor for the daily movement in the weighted average call money rate.
- **Reserve requirements:** Fraction of total deposits managed by a bank as reserves that are not to be lent, which is calculated as a percentage of each bank's net demand and time liabilities (NDTL).

This are used for, providing loans to the government, safe banking operations, liquidity regulation, management of interest rates etc. they can be CRR or SLR.

- **Cash Reserve Ratio (CRR):** It is the portion of the bank deposits that a bank should keep with the RBI in cash form, with no interest.

It is used to manage liquidity and inflation.

- **Statutory Liquidity Ratio (SLR):** portion of time and demand deposits banks should keep with themselves in the form of designated liquid assets like Government securities, public sector bond, current account balances with banks and gold.
- **Liquidity coverage ratio:** The LCR is the requirement whereby banks must hold an amount of high-quality liquid assets that's enough to fund cash outflows for 30 days.
- The high-quality liquid assets include only those with a high potential to be converted easily and quickly into cash
- **Standing Deposit Facility (SDF)** is a collateral free arrangement meaning that RBI need not give collateral for liquidity absorption

The SDF will allow the RBI to suck out liquidity without offering government securities as collateral.

- **Open Market Operations (OMOs):** These include both, outright purchase and sale of government securities, for injection absorption of liquidity. and Note: Tools of liquidity adjustment- CRR, repo and reverse repo.
- **Market Stabilisation Scheme (MSS):** Surplus liquidity of a more enduring nature arising from large capital inflows is absorbed through the sale of short-dated government securities and treasury bills.
- It is a sterilization effort of the central bank. (RBI borrows from market absorbing excess liquidity)
- **Long Term Repo Rate:** The LTRO is a tool under which the central bank provides one-year to three-year money to banks at the prevailing repo rate, accepting government securities with matching or higher tenure as the collateral.
- **Interest rates:** A rate which is charged or paid for the use of money. It is often expressed as an annual percentage of the principal.

High Interest Rates	Low Interest Rates
Rupee gets stronger	Rupee weakens
Encourages saving	Encourages spending
Less disposable income	More disposable income
Loan repayments increase	Loan repayments decrease
Savings earn more interest	Savings earn less interest
Lower inflation	Higher inflation

- **Hawkish stance** is when a central bank wants to guard against excessive inflation, there by increases interest rates.
- **Dovish** is the opposite of hawkish, interest rates are reduced to fuel growth.
- **Benchmark Prime Lending Rate (BPLR)** was the rate at which commercial banks can lend to customers who are most credit worthy.
- **Base Rate** is the interest rate below which Scheduled Commercial Banks (SCBs) will lend customers. no loans to its
- **Base rate** is replaced with **MCLR (Marginal Cost of funds-based Lending Rate)**
- **Marginal Cost of funds based on Lending Rate (MCLR):** It is the minimum interest rate below which financial institutes cannot lend, except in certain cases. It is a tenor- linked internal benchmark, which means the rate is determined internally by the bank depending on the period left for the repayment of a loan

Aspect	Base Rate	MCLR
New Battle	Base rate system	MCLR system
Cost of Funds	Based on average cost of funds	Based on marginal cost of funds
Margin	Includes a fixed margin	Includes a marginal cost margin
Calculation of Lending Rate	Based on the average cost of funds and other factors	Based on marginal cost of funds and other factors
Components		
- Tenor Premium	Included	Included
- Operating Expenses	Included	Included
- Cash Reserve Ratio (CRR)**	Included	Included

Inflation Targeting: A central bank has an explicit target inflation rate range. Government and RBI agree on convergence between fiscal and monetary policies.

Urjit Patel committee 2014: inflation targeting

- Inflation target: 4% +/- 2%
- Nominal anchor should be defined in terms of headline inflation.
- Setting up Monetary Policy Committee (covered in Inflation)

Twin Balance Sheet (TBS) challenge deals with balance sheet of Indian companies and Indian Banks.

- **Overleveraged companies:** Debt accumulation on companies is very high and thus they are unable to pay interest payments on loans.

- **Bad-loan-encumbered-banks:** Non-Performing Assets (NPA) of the banks is 9% for the total banking system of India. It is as high as 12.1% for Public Sector Banks. As companies fail to pay back principal or interest, banks are also in trouble.
- **Public Sector Asset Rehabilitation Agency (PARA)**
- The Public Sector Asset Rehabilitation Agency (PARA) colloquially called "Bad Bank" is a proposed agency to assume the Non-Performing Assets (NPA) of public sector banks in India and to deal with the recovery of the bad loans.
- **Helicopter Money:** A helicopter drop, or helicopter money, is a hypothetical, unconventional tool of monetary policy that involves printing large sums of money and distributing it to the public in order to stimulate the economy.
- **Liquidity Trap:** it happens when monetary policy becomes ineffective due to very low interest rates and consumers preferring to save rather than invest in higher-yielding bonds/investments.

Reserve Bank of India:

It was set up in 1935 (by the RBI Act, 1934). Nationalized in 1949, governed by Central board of directors. It is the central bank of India and is regulator and controller of banking system

Its functions are as follows,

1. **Bank of issue:** It has sole right to issue bank notes of all denominations. Distribution of coin and 1rs notes is done by RBI on behalf of GOI.
2. **Banker to Government:** Will transact government business, receive and make payments on behalf of government.
3. **Bankers bank and lender of last resort:** scheduled banks can borrow from RBI by rediscounting bills of exchange. RBI is the lender of last resort.

4. **Controller of credit:** it has the power to influence the volume of credit created by bank in India.
5. **Agent and advisor of the government:** It issues government bonds, treasury bills, financial adviser to government, as an agent of government manages public debts.
6. **National clearing house:** RBI acts as the clearing house for settlement of banking transactions.
7. **Custodian of foreign reserves:** It takes up operation in forex market to stabilise the exchange rate of rupee and ensure there is no speculation. **Forex** includes foreign currency assets, gold, IMF SDR (special drawing rights).
8. **Supervisory functions:** Supervises and control over commercial and cooperative banks.
9. **Promotional functions:** to promote banking habit and extend banking facilities, it has set up IFCI, SFC, IDB etc.

A bank is a financial institution which performs the deposit and lending function.

Banks Classification.

Central Banks	Scheduled	Commercial	SBI & Associates
			Public Sector
			Other Nationalized Banks
		Private Sector	Other Public Sector Banks
			Old Private Sector Banks
			New Private Sector Banks
	Co-operative	Foreign Banks	
		Regional Rural Banks	
		State Co-operative Banks	
	Non Scheduled	Central Co-operative Banks	
		Primary Agricultural Credit Societies	
	Specialized Banks	Paid-up Capital < 5 lacs	
		Indigenous Banks	
		Development Banks	
		Investment Banks	
		Industrial Banks	
		Land Mortgage Banks	
		Exchange Banks	
		EXIM Banks	
		Retail Banks	

Commercial Banks:

Banks are broadly classified into two types- Scheduled Banks and Non-scheduled Banks.

Scheduled banks are those banks which are included in the Second Schedule of the Reserve Bank Act, 1934. They satisfy two conditions under the Reserve Bank of India Act

- Paid-up capital and reserves of an aggregate value of not less than Rs. 5 lakhs.
- It must satisfy RBI that its affairs are not conducted in a manner detrimental to the depositors.

Non-scheduled banks are those banks which are not included in the second schedule of the RBI Act as they do not comply with the above criteria and so they do not enjoy the benefits either.

Public Sector Banks:

They are owned by the Government either totally or as a majority stake holder.

State Bank of India and its five associate banks called the State Bank group

Nationalization of Banks- 50 years

- SBI Act, 1955 partially nationalized the three Imperial Banks.
- Partially nationalized eight more private banks via the SBI (Associates) Act, 1959 and named them as the Associates of the SBI
- With Banking Nationalization Act, 1969, the government nationalized
 - (i) 14 banks were nationalized in July 1969.
 - (ii) 6 banks were nationalized in April 1980.

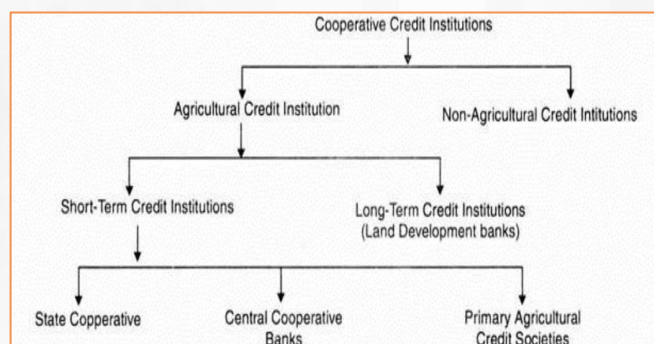
Regional Rural Banks

- RRBs were established under the provisions of an Ordinance promulgated on the 26th September 1975 and the RRB Act, 1976 with an objective to ensure sufficient institutional credit for agriculture and other rural sectors.
- The area of operation of RRBs is limited to the area as notified by Gol covering one or more districts in the State.
- RRBs are jointly owned by Gol, the concerned State Government and Sponsor Banks (27 scheduled commercial banks and one State Cooperative Bank), the issued capital of a RRB is shared by the owners in the proportion of 50%, 15% and 35% respectively.

The RRBs mobilize deposits primarily from rural/semi-urban areas and provide loans and advances mostly to small and marginal farmers, agricultural laborers, rural artisans and other segments of priority sector.

Cooperative Banks:

- Initially set up to supplant indigenous sources of rural credit, mostly serve the needs of agriculture and allied activities, rural-based industries and to a lesser extent, trade and industry in urban centres.



Co-operative banks have a three-tier structure:

- Primary Credit Societies-PCSS (agriculture or urban).
- District Central Co-Operative Banks- DCCBs.
- State Co-Operative Banks-SCBs (at the apex level).

Cooperative Banks	Commercial Banks
Cooperative Societies Act, 1904	Banking Regulation Act, 1949
Cooperative societies	Joint stock companies
Members only	General public
Short, medium, and long-term finance to agriculture and allied sectors	Short, medium, and long-term finance to trade, commerce, and industry

Cooperative Banks	Commercial Banks
Shareholders who are members	Anyone who meets the bank's conditions
Operate on a relatively small scale	Operate on a large scale
Limited to providing different types of loans to members	Offer a wide range of financial assistance and financial services
Subject to supervision by state governments, NABARD, and the RBI	Directly supervised by the Reserve Bank of India
Operate as a federal structure in India	Operate as joint stock companies

Union Cabinet has approved to bring regulation of cooperative banks under Reserve Bank of India. In order to achieve this, the Cabinet approved amendments to Banking regulation act. The amendments will apply to all urban co-operative banks and multistate cooperative banks

As per the changes:

- Cooperative banks will be audited according to RBI's norms. RBI can supersede the board, in consultation with the state government, if any cooperative bank is under stress.
- Appointments of chief executives will also require permission from the banking regulator, as is the case for commercial banks.

Banking Sector Reforms

Post 1991 Reforms

- Interest rates were deregulated to make banks respond dynamically to the market conditions. Even savings bank deposit rates were deregulated in 2011.
- Voluntary Retirement Scheme (VRS) for better productivity. work culture and
- Floor and cap on CRR were removed and floor on SLR was removed in 2006.
- Near level playing field for public, private and foreign banks in entry.
- Basel norms adopted for safe banking.
- FDI up to 74 per cent was permitted in private banks.
- Bank consolidation through merger.
- Indra Dhanush comprising banking sector reforms for professionalization and strength.

Narasimham Committee I aimed at:

- Ensuring a degree of operational flexibility.
- Internal autonomy for public sector banks (PSBs) in their decision-making process.
- Greater degree of professionalism in banking operation.

Narasimhan 2 (1998) Recommendations

1. Need of stronger banking system with merger of PSB.
2. Legal framework for loan recovery
3. 3 tier banking structure etc.

Sarfaesi Act

The Securitisation and Reconstruction of Financial Assets and Enforcement of Securities Interest (SARFAESI) Act, 2002, was enforced in the year 2004.

SARFAESI was created to allow banks and financial institutions to auction properties (residential and commercial) if the borrowers fail to repay the loans.

Act applies to outstanding loans (above Rs. 1 lakh), which are classified as Non- Performing Assets (NPA).

Methods of Recovery under the Act

1. Securitisation
2. Asset Reconstruction
3. Enforcement of security without the interruption of the court

Asset Reconstruction Company:

It is a special type of financial institution that buys the debtors of the bank at a mutually agreed value and attempts to recover the debts or associated securities by itself. Narasimhan Committee I envisaged setting up an Asset Reconstruction Fund to facilitate banks to improve their balance sheets by clearing NPAs.

Insolvency and Bankruptcy Code, 2016

- IBC is considered as one of the biggest insolvency reforms in the economic history of India. This was enacted for reorganization and insolvency resolution of corporate persons, partnership firms and individuals in a time-bound manner for maximization of the value of assets of such persons.
- The Code creates time-bound processes for insolvency resolution of companies and individuals. These processes will be completed within 180 days. If insolvency cannot be resolved,

- The resolution processes will be conducted by licensed insolvency professionals (IPs). These IPs will be members of insolvency professional agencies (IPAs). IPAs also furnish performance bonds equal to the assets of a company under insolvency resolution.
- Information utilities (IUs) are established to collect, collate and disseminate financial information to facilitate insolvency resolution.
- The National Company Law Tribunal (NCLT) adjudicate insolvency resolution for companies. The Debt Recovery Tribunal (DRT) adjudicate insolvency resolution for individuals.
- The Insolvency and Bankruptcy Board of India regulate functioning of IPs, IPAs and IUs.

IBC, 2019 amendments:

The entire procedure of IBC must finish within 330 days. If there are too many financial creditors, they may appoint a representative to attend committee of creditors on their behalf. Ring fencing from any risk of criminal proceedings.

Bank Recapitalisation

- As the name suggests, means recapitalising banks with new capital to improve their balance sheet.
- Since the government is the biggest shareholder in public sector banks, the responsibility of infusing capital majorly lies with the government.
- The recapitalisation plan comes into action when banks get caught in a situation where their liabilities are comparatively higher than their assets

Recapitalisation Bonds

- A government bond is an instrument to raise money from the market with a promise to pay to repay the face value of the maturity date and a periodic interest.
- A bond issued for the purpose of recapitalisation bonds. is called

Prompt corrective Action Framework

- PCA is a framework under which banks with weak financial metrics are put under watch by the RBI.
- Introduced by RBI in 2002 as a structured early-intervention mechanism for banks that become undercapitalised due to poor asset quality, or vulnerable due to loss of profitability.
- It aims to check the problem of Non-Performing Assets (NPAs) in the Indian banking sector.
- PCA is intended to help alert the regulator as well as investors and depositors if a bank is heading for trouble.
- The idea is to head off problems before they attain crisis proportions.
- The PCA framework deems banks as risky if they slip some trigger points capital to risk weighted assets ratio (CRAR), net NPA, Return on Assets (RoA) and Tier 1 Leverage ratio
- Certain structured and discretionary actions are initiated in respect of banks hitting such trigger points.
- The PCA framework is applicable only to commercial banks and not to co-operative banks and non-banking financial companies (NBFCs).

Priority Sector Lending

- Lending programme is to ensure that adequate institutional credit flows into some of the vulnerable sectors of the economy.

Indian Banks need to lend 40%

- Sub target- 18% Agriculture, 10% weaker Sections, and other to housing, education, renewable energy, MSME, sanitation.

Foreign Banks

- Foreign Banks (having less than 20 branches) have to fulfil only 36% (reach 40 in phased manner), sub-targets for the exports, small and medium enterprises. enterprises, micro

Basel Norms

- Basel Committee on Banking Supervision is an international committee formed in 1974 to develop standards for banking regulation.
- It consists of central bankers from 27 countries and the European Union.
- It is headquartered in the office of Bank for International Settlements (BIS) in Basel, Switzerland.
- It developed a series of policy recommendations with respect to Capital risk, market risk and operational risk known as Basel Accords.
- Tier 1 capital which can absorb losses without a bank being required to cease trading.
- Tier 2 capital absorb losses in the event of winding up, which provide lesser degree of protection to depositors.
- Tier 3 capital tertiary capital of banks which are used to meet market risk, commodity risk and foreign currency risk.

AT1 Bonds:

Also known as Additional Tier 1 bonds. These are unsecured perpetual bonds issued by banks to shore up their capital base to meet Basel III requirements.

Capital Adequacy Ratio (CAR)

- CAR (Tier I Tier II Capital)/Risk Weighted Assets
- Expressed as a percentage of a bank's risk weighted credit exposures.
- Measure of bank's financial strength to ensure that banks have enough cushions to absorb losses before becoming insolvent and losing depositors' funds.
- CAR is required to be 9% by RBI (based on BASEL III norms), where 7% has to be met by Tier 1 capital while the remaining 2% by Tier 2 capital.

Basel III Framework

In 2010, Basel III guidelines were released. These guidelines were introduced in response to the financial crisis of 2008.

Basel III norms aim at making most banking activities such as their trading book activities more capital-intensive.

The guidelines aim to promote a more resilient banking system by focusing on four vital banking parameters viz. capital, leverage, funding and liquidity.

Presently Indian banking system follows Basel II norms.

Basel III Compliant Bonds: The bonds qualify as tier II capital of the bank, and has a face value of Rs 10 lakh each. There is a call option after 5 years

Major Features of Basel III

1. Revised Minimum Equity & Tier I Capital Requirements
2. Better Capital Quality
3. Leverage Ratio
4. Liquidity Ratio
5. Countercyclical Buffer
6. Capital Conservation Buffer

Ratio under consideration

$$\text{CAR} = \frac{(\text{Tier 1 Capital} + \text{Tier 2 Capital})}{\text{Risk Weighted Assets}}$$

$$\text{Leverage Ratio} = \frac{\text{Tier 1 Capital}}{\text{Total Exposure}} \geq 3\%$$

$$\text{Liquidity Coverage Ratio} = \frac{\text{High-quality liquid assets}}{\text{Total net cash outflows over the next 30 calendar days}} \geq 100\%$$

$$\text{Net Stable Funding Ratio} =$$

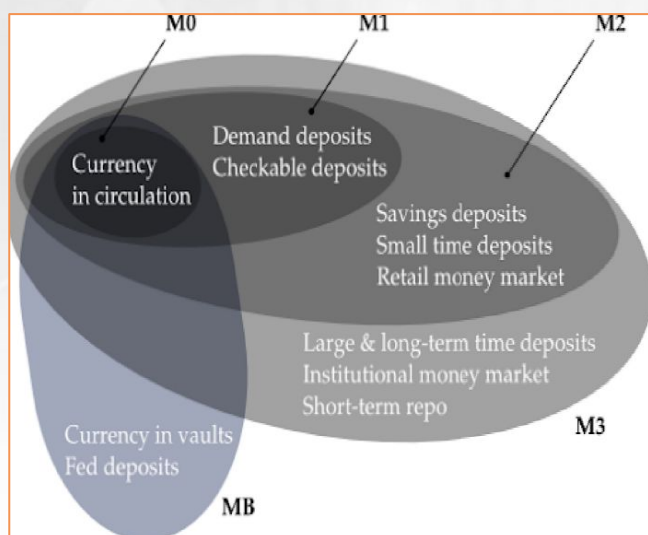
$$\frac{\text{Available stable funding}}{\text{Required stable funding}} \geq 100\%$$

India and Basel Norms Implementation:

- RBI's version of Basel III norms requires Indian banks to hold a minimum capital amounting to 11.5% of their risk-weighted loans.
- The key capital adequacy parameter has been stipulated at 9% higher than the international norm of 8%.
- **Recapitalisation:** lending to the bank resources needed to conform to the capital adequacy norms which stand at 8% today - minimum level

Stock of money

- Reserve Money (M0) Currency in circulation Bankers' Deposits with the RBI Other' deposits with the REL
- Narrow Money (M1) Currency with the Public Demand Deposits with the Banking System deposits with the RHI Other
- M2 M1 Savings Deposits of Post office Savings Banks.
- Broad Money (M3) - M1 Time Deposits with the Banking System.
- M4 M3 All deposits with Post Office Savings Banks (excluding National Savings Certificates).



Money Multiplier

- It is the ratio of Broad money (M3) divided by Reserve Money (M0). It represents money supply as in, for
- each rupee of money of the Central Bank in India, how many rupees get generated in the Indian Economy. Note: Liquidity-As we move from M1 to M4 the liquidity of the money goes on decreasing.

Two basic changes in the new monetary aggregates.

Monetary aggregates:

- NM1 Currency with the Public + Demand Deposits with the Banking System +Other' Deposits with the RBI.
- NM2 NM1 Short Term Time Deposits of Residents (including the contractual maturity of one year).
- NM3 = NM2 + Long-term Time Deposits of Residents Call/Term Funding from Financial Institutions.

Liquidity Aggregates:

- L1NM3+ All Deposits with the Post Office Savings Banks.
- L2L1+ Term deposits with Term Lending Institutions and Refinancing Institutions (FIs) + Term Borrowing by FIs +Certificates of Deposit issued by FIs
- L3 L2 Public Deposits of Non- Banking Financial Companies.

High Powered Money: The new currency printed by the central bank for deficit financing is called 'high powered money'.

Cryptocurrencies: A cryptocurrency is a form of digital money which is designed to work as a medium of exchange and uses a cryptography method to keep it secure the transaction.

Crypto currency uses the decentralized network. That means you don't need any third-party server like bank, government, other authorities to perform any type of transaction with the merchants. Ex: Bitcoin

Labels of ATMs.

The automated teller machine (ATM) entered India by late 1980s and have evolved into three of its types,

(i) Bank's own ATMs: These are owned and operated by the concerned bank and carry the bank's 'logo'. They are the costliest way to provide such service to bank's customers.

(ii) Brown Label ATMs (BLAs): These are owned by third party (a non-banking firm). The concerned banks only handle part of the process that is 'cash handling' and 'back-end server' connectivity. They carry 'logo' of the bank which outsources their service.

(iii) White Label ATMs: 'owned and 'operated' by a third party (a non-banking firm). They do not bear logo of the banks they serve. In place, they carry logo of the firm which own them. It serves many banks.

Classification of Assets

- **Stressed Assets:** It is a broader term and comprises of NPAs, restructured loans and written off assets.
- **Restructured Loans:** Assets/loans which have been restructured by giving a longer duration for repayment, lowering interest or by converting them to equity.
- **Written off Assets:** Assets/loans which aren't counted as dues, but recovery efforts are continued at branch level Done by banks to clean up their balance books.
- **Non-performing asset (NPA)**
- It is a loan or advance for which the principal or interest payment remained overdue for a period of 90 days Or more. In case of Agriculture/Farm Loans, the NPA varies for short duration crop (interest not paid for 2 crop seasons) and long duration crops (interest not paid for 1 Crop season).

Substandard, Doubtful & Loss Assets

- **Substandard assets:** Assets which have remained NPA for a period less than or equal to 12 months.
- **Doubtful assets:** Assets which have remained in the substandard category for a period of 12 months
- **Loss assets:** Loss asset is considered uncollectible and of such little value that its continuance as a bankable asset is not warranted, although there may be some salvage or recovery value.

Differentiated Banking

The banks which could be differentiated on the account of capital requirement, scope of activities and serve the needs of a certain demographic segment of the population are called as Differentiated Banks or Niche Banks.

- The idea of Differentiated Bank was mooted by Nachiket Mor Committee 2014, for Financial Inclusion.
- It can be classified as Payment Banks, Small Finance Banks, Regional Rural Banks, Local Area
- Banks Wholesale and Long-Term Finance (WLTF) banks etc. Wholesale and long-term finance banks focused primarily on lending to infrastructure sector and small, medium and corporate businesses

	Payments Banks	Small Banks
Who Can Promote	Prepaid card issuers, telecom. companies, NBFCs, business correspondent, supermarket chains, corporates, real estate sector Co- OPS & PSUS.	Individuals/professionals with 10 years" experience in finance, NBFCs, microfinance cos, local area banks
What They Must Do	• Have minimum capital of Rs 100cr. • Maintain 75% of deposits in govt. bonds. • Maintain 25% of deposits in other banks. • Have at least 26% investment by Indians. • Get listed if net worth crosses Rs. 500cr. • Have 25% of branches in unbanked areas. • Be fully networked and technology driven • Have Rs. 1 lakh cap for deposits in one a/c	• Have a minimum capital of Rs 100cr. • Extend 75% of loans to priority sector. • Have 25% of branches in unbanked areas. Maintain reserve requirements. • Cap loans to individual 8 and groups at 10% and 15% net worth. of • Have a business correspondent network.
What They Can Do	• Offer internet banking • Sell mutual funds, insurance, pensions. • Offer bill payment service for customers Have ATMs and business correspondents (BC). • Can function as BC another bank. of	• Sell forex to customer • Sell mutual funds, insurance pensions. • Can convert into full-fledged bank. • Expand across the country.
What They Can't Do	• Offer credit cards. • Extend loans. • Handle cross- border remittances. • Accept NRI Deposits.	• Extend large loans • Float subsidiaries • Cannot deal sophisticated financial products.

Banking Correspondents

- They are individuals/entities engaged by a bank in India for providing banking services in unbanked / underbanked geographical territories.
- They work as an agent of the bank and substitutes for the brick-and mortar branch of the bank.

Chief Compliance Officer

RBI has issued guidelines for appointment of Chief Compliance Officer in banks, to ensure uniform approach with regard to compliance and risk management culture. He/she must be appointed for minimum 3 years of term.

Non-Banking Financial Company (NBFC)

- It is a company registered under Companies Act that provides financial services without meeting the legal definition of a bank.
- It can engage in the business of loans and advances, acquisition of shares/ stocks / bonds / debentures / securities issued by Government or local authority or other marketable securities, leasing, hire-purchase, insurance business, chit business etc.
- It does not include any institution whose principal business is that of agriculture activity, industrial activity, purchase/sale of any goods (other than securities) and sale/purchase/construction immovable property. of
- It can either be deposit taking (need an RBI registration) or non-deposit taking.

Aspect	NBFCs	Banks
Meaning	Provide banking services to people without holding a bank license	Government-authorized financial intermediaries providing banking services to the public
Regulated Under	Companies Act 2013	Banking Regulation Act 1949
Demand Deposits	Cannot be accepted	Can be accepted
Foreign Investment	Allowed up to 100%	Allowed up to 74% for private-sector banks
Payment and Settlement System	Not a part of the system	An integral part of the system
Maintenance of Reserve Ratios	Not required	Mandatory
Deposit Insurance Facility	Not available	Available
Credit Creation	NBFCs do not create credit	Banks create credit
Transaction Services	Cannot be provided by NBFCs	Provided by Banks

Shadow Banking

- It is a set of activities or institutions that operate partially outside the traditional commercial banks.
- They are not fully regulated by RBI.
- They are not under Regulations Act, 1950.

Segments of Shadow Banking

HFC	Housing finance companies. Ex: Dewan Housing Finance Limited
LDMF	Liquid Debt Mutual Funds. They invest client money into short term debt instruments like T-Bills
Retail NBFCs	Ex: Gold Loan Companies, Asset Finance Companies.

All India Financial Institution

Bank	Role
Export-Import Bank of India (EXIM Bank)	Established in 1982 under the Export-Import Bank of India Act 1981, serves as a catalyst and key player in promoting cross-border trade and investment.
National Bank for Agriculture and Rural Development (NABARD)	Established on 12 July 1982 on the recommendations of the B. Sivaraman Committee. It focuses on policy, planning, and operations in the field of credit for agriculture and other economic activities in rural areas in India.
Small Industries Development Bank of India (SIDBI)	Established on April 2, 1990, through an Act of Parliament. Provides refinance facilities and short-term lending to industries. Serves as the principal financial institution in the Micro, Small, and Medium Enterprises (MSME) sector. SBI is the largest shareholder.

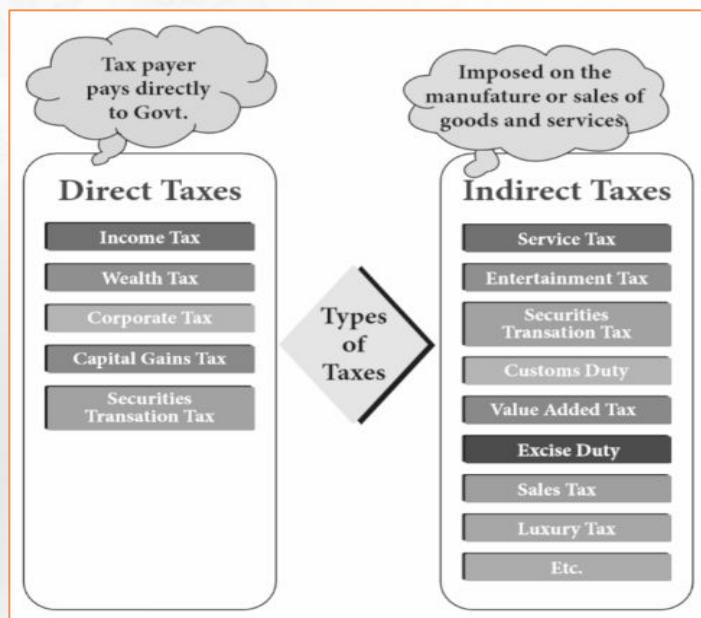
Bank	Role
National Housing Bank (NHB)	Subsidiary of the Reserve Bank of India (RBI), set up on 9 July 1988 under the National Housing Bank Act, 1987. It acts as the principal agency to promote housing finance institutions both at local and regional levels and provides financial support.

Miscellaneous:

- **Bilateral Netting:** It is an agreement that enables two counterparties in a financial contract to offset claims against each other to determine a single net payment obligation due from one counter party to other. Netting refers to offsetting of all claims arising from dealings between two parties, to determine a net amount payable or receivable from one party to other.
- **Development Finance Institution (DFI):** They provide long term credit for capital intensive investments spread over a long period and yielding low rates of return. They often lend at low and stable rates of interest to promote long term investments with considerable social benefits.
- **Bad Banks:** It is set up to buy the bad loans and other liquid holdings of another financial institution. The entity holding significant NPAs will sell these holdings to bad bank at market price.
- **Positive Pay System:** It is introduced by RBI for cheque transactions above Rs. 50000. It involves a process of reconfirming key details of large value cheques. The issuer will electronically submit certain minimum details of that cheque to drawee bank. It will be developed by National Payments Corporation of India (NPCI).

6. Taxation

Taxes are involuntary fees levied on individuals or corporations and enforced by a government entity.



Three methods of taxation

1. Progressive

It is based on the taxpayer's ability to pay. As income increases, taxes increase. High income earner will pay more tax than low-income earner. Ex: Indian income tax

2. Regressive

A regressive tax is assessed as a percentage of the item being purchased.

Everyone pays the same percentage, regardless of earnings, so people with low incomes are hit much harder than those with large incomes. Ex: Sales tax.

3. Proportional

Proportional taxes are a flat tax system in which taxpayers pay a set percentage, regardless of their income. Ex: Income tax of 10% that does not change as income rises or falls

Retrospective Taxation:

- It allows a country to pass a rule on taxing certain products, items or services and deals and charge companies from a time behind the date on which the law is passed.
- Countries use this route to correct any anomalies in their taxation policies that have, in the past, allowed companies to take advantage of such loopholes.

Specific and Ad-valorem tax (another classification of taxes)

- A Specific tax is a set amount of tax per unit sold, based on weight/number etc.
- An Ad valorem tax is a percentage tax based on the value added by the producer. As the value-added increases, taxes also increase. Real estate. Ex:

Two types of taxation

• Direct Tax

A direct tax is paid directly by an individual or organization to the imposing entity. Ex: Real property tax, personal property tax, income tax or taxes on assets.

• Indirect Tax

An indirect tax is collected by one entity in the supply chain (usually a producer or retailer) and paid to the government, but it is passed on to the consumer as part of the purchase price of a good or service. Ex: Excise, sales tax, etc.,

Five principles of a good tax system

1. **Fairness:** horizontal equity and vertical equity.
2. **Efficiency:** raise revenue with least cost.
3. **Administrative simplicity:** reduce the work required to collect and pay taxes
4. **Flexibility:** modify when needed
5. **Transparency:** where the money is coming from, where it is going should be open to all.

Various Direct Taxes in India

Tax	Description
Income Tax	- Charged directly on the income of a person. - The rate charged is proportional to the level of income.
Corporate Tax	- Levied on companies that exist as separate entities from their shareholders. - Foreign companies are taxed on income that arises, or is deemed to arise, in India. - Includes Minimum Alternative Tax (MAT), Fringe Benefit Tax (FBT), Dividend Distribution Tax (DDT), and Securities Transaction Tax (STT).
Wealth Tax	- Charged on the benefits derived from property ownership.
Capital Gains Tax	- Taxed on the income derived from the sale of assets or investments. - Capital investments include homes, farms, businesses, works of art, etc.

Other Direct Taxes in India

Tax	Description
Fringe Benefits Tax (FBT)	A tax payable by employers for benefits provided to employees in place of salary or wages.
Dividend Distribution Tax (DDT)	A tax imposed by the Indian Government on companies according to the dividends paid to investors/shareholders.
Minimum Alternative Tax (MAT)	Payable under the Income Tax Act. It targets companies that make huge profits and pay dividends to shareholders but pay no or minimal tax under the normal provisions of the Income Tax Act.
Securities Transaction Tax (STT)	A tax payable in India on the value of securities (excluding commodities and currency) transacted through a recognized stock exchange.

Direct Tax Code

- The task force on the direct tax code (DTC) submitted its final report to the finance minister.
- The Task Force, initially headed by former CBDT Member (Legislation) Arvind Modi and later on by Akhilesh Ranjan, was constituted in November 2017 in order to review the Income-tax Act and to draft a new Direct Tax Law.
- The proposed new code will replace the Income-tax Act of 1961.

- The panel on the Direct Tax Code (DTC) has suggested a rejig of personal income tax slabs, roadmap of corporate tax rate cut to 25% for companies, provisions to reduce compliance burden by simplification of procedures and litigation management. It has also suggested some changes in Dividend Distribution Tax and Minimum Alternate Tax.

Indirect Taxes

GST-A big bang reform post 1991

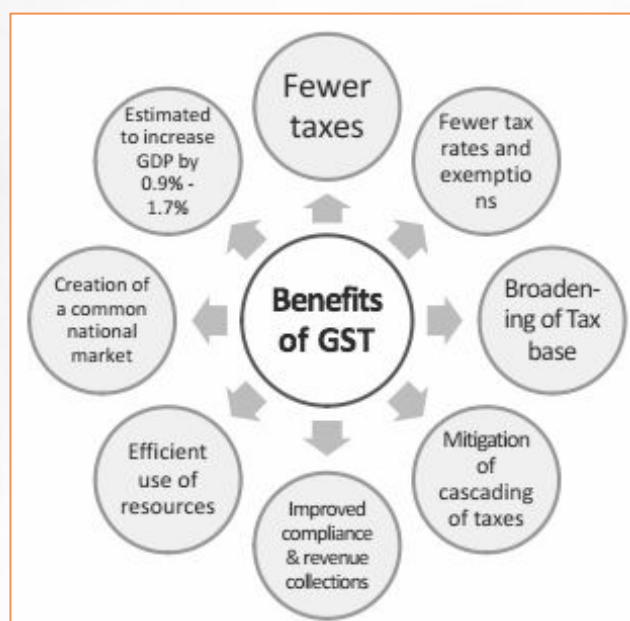
- **Definition:** It is a comprehensive tax levied on the manufacture, sale, consumption of goods and services. and

Features of GST

- The GST is a destination-based consumption tax made on value addition.
- GST includes services tax also. Central Value Added Tax, Additional Customs Duty, Special Additional. Duty of Customs, Central Sales Tax, Service Tax, state VAT (Sales tax) are some of the taxes that has been merged to form the GST
- The GST proposes a four-tier rate structure. The tax slabs are fixed at 5%, 12%, 18% and 28% besides the 0% tax on essentials.
- GST is applied when turnover of the business exceeds Rs 20 lakhs per year (Limit is Rs 10 lakhs for the North-Eastern States)
- **Input tax credit:** Input credit means at the time of paying tax on output, tax paid on Input would be deducted.
- The centre and states will share GST tax revenues at 50:50 ratio (except the IGST)
- The GST Council has adopted a dual GST with two components. The Central GST (CGST) and the State GST (SGST). The IGST comes to play when the commodity is produced in one state and is traded to another state (interstate trade). In this case, the share of SGST should go to the consuming state (as the GST is a destination-based tax).

- **Composition scheme:** Is an easy, low procedure and compliance friendly tax scheme for small and medium enterprises (goods and services).
- Less number of tax returns file return on quarterly basis.
- Turnover limit for availing this scheme <1.5 crores.
- Available only supplies. for intra-state
- No input scheme facility is available
- Ecommerce firms can't opt
- Exports are exempted from GST as in the case of the previous regime.

Advantages of GST-Image Enhancement



Goods and services tax council

- It is a constitutional body Article 279A. It makes recommendations to the Union and State Government on issues related to GST
- It was introduced by the Constitution
- (One Hundred and First Amendment) Act, 2016.
- The GST Council is chaired by the Union Finance Minister.
- It is considered as a federal body where both the centre and the states get due representation.
- The GST council is the key decision-making body that will take all important decisions (tax rate, tax exemption, the due date of forms, tax laws, and tax deadlines)

- Every decision of the Goods and Services Tax Council shall be taken at a meeting by a majority of not less than three-fourths of the weighted votes of the members present and voting, in accordance with the following principles, namely:
- the vote of the Central Government shall have a weightage of one third of the total votes cast, and the votes of all the State Governments taken together shall have a weightage of two-thirds of the total votes cast, in that meeting.
- The Council will also set up Anti-profiteering screening committees that will make the National Anti-Profiteering Authority stronger under the GST law.

National anti-profiteering authority

- It is institutional mechanism under GST law to check the unfair profit-making activities by the trading community, with core function of ensuring tax reduction will be passed on to end customer.

Goods and Services Tax Network (GSTN)

- It is not for profit organisation jointly owned by government and private players.
- GSTN has been entrusted with the responsibility of building Indirect Taxation platform for GST to help one prepare, file, rectify returns and make payments liabilities of your indirect tax

E Way Bill

- The E-way bill is a document to be generated online under the GST system, when goods of the value of more than Rs.50,000 are shipped inter-State or intra-State.
- The E-way bill must be raised before the goods are shipped and should include details of the goods, their consignor, recipient and transporter.

- The transporter has to carry the invoice and the copy of E-way bill as support documents for the movement of goods.
- Though check-posts have been abolished under GST, a consignment can be intercepted at any point for the verification of its E-way bill, for all inter-State and intra-State movement of goods.
- If a consignment is found without an E-way bill, a penalty of Rs.10,000 or tax sought to be evaded, whichever is greater, can be levied.
- Whether goods are transported on one's own or hired conveyance, by air, rail or road, the E-way bill has to be generated.

Tax Planning, Tax Avoidance and Tax Evasion: The tax liability of a person can be reduced through Tax Planning, Tax Avoidance and Tax Evasion.

Tax Avoidance	- Making use of loopholes in the Tax Law to reduce the tax burden. - Although 100% legal, it is not advisable.
Tax Evasion	- Involves breaking the law by not paying one's taxes. - Illegally reduces tax burden by deflating income or inflating expenses.
Tax Planning	- The art of reducing tax liability by using the various provisions of Law. - The government provides various deductions and exemptions which can be used to reduce tax liability, such as investment in mutual funds, Savings certificates.

Steps taken by the government to reduce tax avoidance in India

1. Renegotiating Double avoidance agreement (DTAA) taxation

- DTAA also referred as Tax Treaty is a bilateral economic agreement between two nations that aims to avoid or eliminate double taxation of the same income in two countries.
- India has DTAA with 84 nations.

2. Advanced pricing agreements (APA)

- An APA is a contract, usually for multiple years, between a taxpayer and at least one tax authority specifying the pricing method that the taxpayer will apply to its related-company transactions
- APAS gives taxpayers, certainty reduce avoid tax avoidance. to disputes,

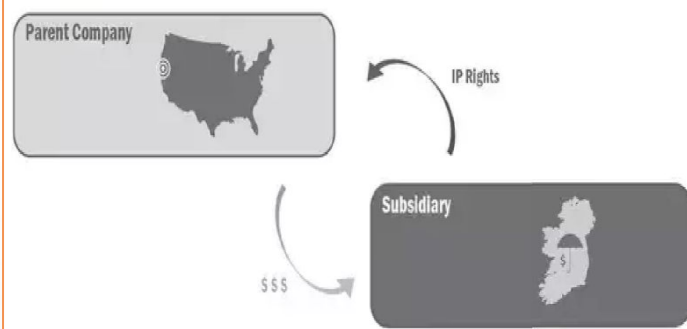
3. General Anti Avoidance Rules:

- GAAR usually consists of a set of broad rules which are based on general principles to check the potential avoidance of the tax in general.
- The government set up a panel under Parthasarathi Shome to review the proposals with regards to GAAR.

4. Base Erosion and Profit Shifting (BEPS)

- BEPS refers to tax planning strategies that exploit gaps and mismatches in. tax rules to artificially shift profits to low or no-tax locations where there is little or no economic activity.
- OECD and G20 countries along with developing countries that participated in the development of the BEPS Package establishing a are modern international tax framework under which profits are taxed where economic activity and value creation occur.

BEPS refers to tax planning strategies that **exploit gaps and mismatches** in tax rules to **shift profits** to low or no tax locations, resulting in little or no overall corporate tax being paid.



5. Other steps taken by the government in recent times to prevent tax avoidance and evasion

- Enactment of the black money (Undisclosed Foreign Income and Assets) and Imposition of Tax Act, 2015
- Enactment of the Transactions Benami (Prohibition) Amendment Act, 2016
- Quoting of PAN made mandatory for sale or purchase of any goods/services above Rs. 2 Lakh.
- Proactively engaging with foreign governments to enhance the exchange of information (Eoi) under tax treaties
- India joined a group of 48 countries as early adopters to new global standards automatically for exchanging information from 2017

Terminologies Related to Taxation

- **Tax incidence:** Entity on whom tax is imposed.
- **Tax burden:** Those who pay tax.
- **Tax expenditure:** Revenue forgone as a result of exemptions and concessions given by government.
- **Tax base:** Volume of goods and services on which tax is imposed.

- **Tax buoyancy:** % change in tax revenue with growth of national income.
- **Transfer pricing:** Is the setting of the price for goods and services sold between controlled (or related) legal entities within an enterprise.
- **Arm's length principle:** Arm's length price, is the price at which two unrelated parties will make a deal. hence market forces of supply-demand will work.
- **Cess:** Tax or additional levy on tax. It is imposed for specific purpose and can be used for designated ends only. Ex: Education cess
- **Surcharge:** Tax or additional levy on tax. It is imposed for general purpose and can be used for any purpose.
- **Tax elasticity:** % change in tax revenue with respect to change in tax rate and extension of coverage.
- The **tax-to-GDP** ratio is a ratio of a nation's tax revenue relative to its gross domestic product.
- Countries with higher GDP generally collect more taxes, while those with lower taxes produce a lower GDP.
- **Capital Gains tax:** Capital gains tax is a levy assessed on the positive difference between the sale price of the asset and its original purchase price.
Long-term capital gains tax is a levy on the profits from the sale of assets held for more than a year
- Inverted duty structure is a situation where import duty on finished goods is low compared to the import duty on raw materials that are used in the production of such finished goods
- **Tax planning:** it is the analysis of finances from a tax perspective, with the purpose of ensuring maximum tax efficiency.
- **Tax avoidance:** it is the use of legal methods to modify an individual's financial situation. to lower the amount of income tax owed.
-

- This is generally accomplished by claiming the permissible deductions and credits. It differs from tax evasion.
- Tax evasion can be either the illegal non-payment or underpayment of actual tax liabilities due.
- **Tax shelter:** it is a place to legally store assets so that current or future tax liabilities are minimized.
- A tax shelter is a tax minimization strategy, and should not be confused with the illegal practice of tax evasion.
- **Tax haven** is defined as a country or place with very low "effective rates of taxation for foreign investors.

Ex Panama, Bermuda, Cayman Islands, Hong Kong etc.

- **Tobin tax:** it is a tax on spot currency conversions that was originally proposed with the intention of penalizing short-term currency speculation.
- **Pigouvian tax:** it is intended to tax the producer of goods or services that create adverse side effects for society.
- **Fringe Benefit Tax (FBT)** is fundamentally a tax that an employer has to pay in lieu of the benefits that are given to his/her employees,
- **Hidden/implicit taxes:** taxes that are concealed in the price of articles. that one buys.
- **Negative income tax:** subsidies given by the government
- **Buyback Tax:** Tax imposed on profit making companies on repurchase of their own shares back from shareholders.
- **Sabka Vishwas Legacy Dispute Scheme, 2019:** To resolve disputes related to indirect taxes.
- **Vivad se Vishwas Scheme:** To resolve disputes related to direct taxes.

7. Financial Markets

A financial market brings buyers and sellers together to trade in financial assets such as stocks, bonds, commodities, derivatives and currencies. The purpose of a financial market is to set prices for global trade, raise capital, and transfer liquidity and risk

Classification of Financial Markets

Money Market	Capital Market
Used by government and corporate entities for borrowing and lending in the short term, usually for assets held up to a year.	Used for long-term assets, which are those with maturities of greater than one year.
Includes Treasury bills, commercial paper, certificates of deposit, etc.	Includes the equity (stock) market and debt (bond) market.

Money Market Structure of Money Market

- 1. Organized money market:**
Organized structure includes, Reserve bank of India, DFHI (Discount and Finance House of India), Commercial Banks, Development bank IDBI, IFCI, ICICI, NABARD, LIC, GIC, UTI etc.
- 2. The unorganized structure includes:**
Indigenous banks, Money lenders, Chits and Nidhis, Co-operative Sector

Money Market Instruments

1. Call Money Market

- Money borrowed or lent for a very short period of time
- 1-14 days it is called notice money, else it is called call money
- No collateral required
- Commercial banks, co-op banks, DFHI participate both as lenders and borrowers.
- LIC, SEBI participate as only lenders.
- Market rates determined Interest

2. Government Securities

- These are dated securities issued by the Government of India and state governments, managed by RBI.
- **Treasury-Bills:** T-bills are short-term securities that mature in one year or less from their issue date. They are issued 91, 182, 364 days of maturity periods. These are issued at discount and redeemed at par, so no interest rate (zero coupon instrument). Most secure as it is backed by government. Ensures Short term liquidity. Banks, insurance companies and financial institutions participate.

3. Cash Management Bills:

they are like T-bills but are issued for maturities less than 91 days, to adjust temporary mismatches in government cash flow.

4. Certificate of Deposits:

- These are negotiable promissory notes, secure and short term issued by scheduled commercial banks (>15 days to 1 year) and Financial institutions (>1 year to 3 year).
- Regional rural banks and Local area banks cannot issue CDs
- These are also issued at a discount to the face value to individuals and firm.

5. Inter Corporate Deposit Market:

- It is an unsecured loan extended by one corporate to another.

6. Commercial Paper

- It is a short term unsecured. promissory note issued by top rated Corporate and Financial institutions at a discounted value on face value for 7 days to 1 year.
- They yield higher returns as compared to T-Bills as they are less secure in comparison to these bills

7. Ready Forward Contracts (REPO):

- Covered in banking section

8. Commercial Bill

- Bills of exchange are negotiable instruments drawn by the seller of goods or services on the buyer of goods for the value of goods delivered, called as trade bills.
- When trade bills are accepted by commercial banks are for called discounting commercial bill.

Discount and Finance House of India

1. It was established by RBI in 1988
2. Objective: it is to facilitate the smoothening of short-term liquidity imbalances by developing active money market and integrating various segments of money market.

Capital Markets

- It refers to market for funds with a maturity of 1 year or more.
- The capital market includes primary and secondary markets.
- The primary market is the part of the capital market that deals with the issuance and sale of equity-backed securities to investors directly by the issuer.
- The secondary market is where investors buy and sell securities they already own.

Significance of Capital Markets:

- Growth of savings.
- Efficient allocation of investment resources and Better utilization of the existing resources.

Capital Market Instruments

1. Shares

- Shares are units of ownership interest in a corporation or financial asset that provide for an equal distribution in any profits, if any are declared, in the form of dividends.
- The two main types of shares are common shares and preferred shares

Difference between common stock and preferred stock:

Aspect	Common Stock	Preferred Stock
Profit through Share Prices and Dividends	Allows holders to make a profit through rising share prices and dividend payments.	Pays a predetermined dividend, whereas dividends to common shareholders vary according to the company's fortunes.
Voting Rights	Holders have voting rights.	Holders do not have voting rights.
Payment in Case of Liquidation	If a company goes bust, common stockholders are paid last.	If a company's assets are liquidated, preferred stockholders get to redeem their shares before common stockholders.

- Stock is the capital raised by a corporation through the sale of shares.

2. Debentures

- A debenture is a type of debt instrument that is not secured by physical collateral. assets or
- Debentures are backed only by the general creditworthiness and reputation of the issuer.
- Both corporations and governments frequently issue this type of bond to secure capital
- There are two types of debentures as of 2016: convertible and nonconvertible.

- Convertible debentures are bonds that can convert into equity shares of the issuing corporation after a specific period of time.
- Nonconvertible debentures are regular debentures that cannot be converted into equity of the issuing corporation

3. Bond

- Bonds and debentures represent the majority of issued debt capital. Although the term bonds and debentures are often used interchangeably the two are distinctly different:
- A bond is typically a loan that is secured by a specific physical asset. A debenture is secured only by the issuer's promise to pay the interest and loan principal.
- Bonds have lower interest rates compared to debentures

Masala

Bonds

- Masala bonds are bonds issued by Indian entities outside India but denominated in Indian Rupees, not foreign currency.
- The term was used by the International Finance Corporation (IFC) to evoke the culture and cuisine of India.
- Low-cost borrowing, Diversified funds.

Zero-Coupon Bonds or Accrual Bonds

- A zero-coupon bond is a debt security that does not pay interest but instead trades at a deep discount, rendering a profit at maturity, when the bond is redeemed for its full-face value. zero-coupon bonds tend to fluctuate in price, much more so than coupon bonds.

Floating Rate Bonds (FRBs)

- These are securities issued at variable coupon rates.
- Social Impact Bonds:
- Are those that will be offered to High-Net-worth Impact Investors etc. Individuals,
- They earn 3% annual Interest Rate for tenure of 5 years

4. Derivatives

- A derivative is a financial security with a value that is derived from, an underlying asset or group of assets
- The most common underlying assets include stocks, bonds, commodities, interest rates and indexes. currencies, market
- Derivatives can either be traded over-the-counter (OTC) or on an exchange

Futures	An agreement between two parties for the purchase and delivery of an asset at an agreed-upon price at a future date.
Forward	A non-standardized contract between two parties to buy or sell an asset at a specified future time at a price agreed upon today, making it a type of derivative instrument.
Swaps	Used to swap one kind of cash flow with another. For example, an interest rate swap to switch from a variable interest rate loan to a fixed interest rate loan, or vice versa.
Options	The buyer is not obligated to "exercise" the option, while the option seller is obligated to either buy or sell the underlying asset if the buyer chooses to exercise the contract.
Warrant	Longer dated options (greater than 1 year).
LEAPS	The acronym LEAPS stands for Long-Term Equity Anticipation Securities. These are options having a maturity of up to three years.

Stock Exchange: A physically existing institutionalized set-up where instruments of security stock market (shares, bonds, debentures, securities, etc.) are traded. Ex: BSE, NSE

There are three ways in which a company raises capital in the primary market.

1. Public Issue:

A public offer is open for all Indian citizens, the most broad-based method of raising capital and the most prestigious.

2. Rights Issue:

Raising capital from the existing shareholders of a company, it means it is a preferential kind of issue restricted to a certain category of the public only.

3. Private Placement:

Raising capital by selling shares to a select group of investors, usually financial institutions (FIs) but may be to individuals also.

G-Secs (Gilt Edged Securities):

It is a tradable instrument (bond) issued by central / state government. They are risk free tradable instruments.

Central government issues both short term (Treasury bills) and long term (G-secs), whereas state government can issue only long term/dated securities.

Players in the Indian capital market

1. Merchant banks:

It manages and underwrites new issues, provide consultancy and corporate advisory services for raising funds and other financial aspects.

2. Mutual funds:

A mutual fund is a type of financial vehicle made up of a pool of money collected from many investors to invest in securities such as stocks, bonds, money market instruments, and other assets.

ESG Funds:

ESG is a combination of three words ie., environment, social and governance. It is a kind of mutual fund. Its investing is used synonymously with sustainable investing or socially responsible investing. ESG fund focuses on companies with environment-friendly practices, ethical business practices and an employee-friendly record.

The fund is regulated by Securities and Exchange Board of India (SEBI)

Types of Mutual Funds

- **Open ended funds:** an investor can buy or sell as and when they intend to
- **Close-ended funds:** usually issue units to investors only once, when they launch an offer, called New Fund Offer.
- **Exchange-Traded Funds (ETFs):** ETFs are a mix of open-ended and close-ended schemes. ETFs, like close-ended schemes, are listed and traded on a stock exchange on a daily basis, but the price is usually very close to its underlying asset.

3. Hedge Funds:

- A hedge fund is an investment fund that pools capital from accredited investors or institutional investors and invests in a variety of assets, often with complex portfolio- construction and management techniques risk

4. Venture Capital:

- Venture capital is a type of private equity, a form of financing that is provided by firms or funds to small, early- stage, emerging firms that are deemed to have high growth potential, or which have demonstrated high growth.

5. Angel investors:

- He/she is an affluent individual who provides capital for a business start-up usually in exchange for convertible debt or ownership of equity

6. Collective investment schemes (CIS)

- It is an arrangement which pools funds from investors to pool their money for investment in particular asset.
- SEBI regulates players involved in CIS.

7. Alternative investment Funds (AIF)

- It is a newly created investment vehicle for real estate, private equity and hedge funds.
- SEBI regulates AIF in India
- It does not include mutual funds, family trusts, employee stock option or CIS.

8. Foreign portfolio investor

- FPIs generally participate through the stock markets and gets in and out of a particular stock at much faster frequencies.
- Globally FPIs are defined as those who hold less than 10% in a company.
- FPIs, Sub-Accounts and Qualified Foreign Investment (QFI) are merged together to form the new investor class, namely Foreign Portfolio Investors, with an aggregate investment limit of 24% which can be raised by the Company up to the applicable sectoral cap.
- They are not permitted to invest in unlisted shares and also in T-bills

9. QFI

- The Qualified Foreign Investor (QFI) is an individual group or association resident in a foreign country that is compliant with FATF standards.
- They can directly invest in corporate debt, equities and mutual funds etc

Prominent institutions with respect to securities market

1. SEBI

- The Securities and Exchange Board of India (SEBI) is the regulator for the securities market in India. It was established in 1988 and given statutory powers on 30 January 1992 through the SEBI Act, 1992

- SEBI has three functions rolled into one body: quasi-legislative, quasi-judicial executive. and quasi-
- Regulate the working of stock exchanges and intermediaries, accords approvals for mutual fund, registers FII who wish to trade in stock markets.

2. FATF

- It is an intergovernmental organization founded in 1989 on the initiative of the G7 to develop policies to money laundering. combat
- In 2001 its mandate expanded to include terrorism financing
- The FATF Secretariat is housed at the OECD headquarters in Paris

3. IOSCO

- It is an association of organisations that regulate the world's securities and futures. markets. Members are typically primary securities and/or futures regulators in a national jurisdiction or the main financial regulator from each. Country.

4. Sustainable stock exchange

- They provide a unique, high- level platform to explore how the world's exchanges can work together with investors, regulators and companies to create more sustainable capital markets.
- They are designed to analyse, promote communication and foster on stock exchanges' sustainability-related activities.

5. Social Stock Exchange:

- Social Stock Exchange (SSE) is an electronic fundraising platform that allows investors to buy shares in a social enterprise that has been vetted by the exchange.
- Social enterprises include is a revenue-generating business whose primary objective is to achieve a social objective, for example, providing healthcare or clean energy.

6. India Energy Index:

- It is a digital trading platform that will allow buyers and sellers of natural gas to trade both in the spot market and in the forward market for imported natural gas across three hubs Dahej and Hazira in Gujarat, and Kakinada in Andhra Pradesh.

External Commercial Borrowings

- ECB are loans in India made by non-resident lenders in foreign currency to Indian borrowers. They are used widely in India to facilitate access to foreign money by Indian corporations and PSUs
- Ministry of Finance and RBI regulate the amount of money that can be raised by the players under this mechanism
- ECB be raised through two routes, Automatic route and the approval route. The former does not require any permission by the authorities while the latter does

Stock Exchange

- It is a facility where stock brokers and traders can buy and sell securities, such as shares of stock and bonds and other financial instruments.

Stock exchanges in India

- Most of the trading in the Indian stock market takes place on its two stock exchanges: the Bombay Stock Exchange (BSE) and the National Stock Exchange (NSE).
- The BSE has been in existence since 1875, S & P BSE SENSEX India's most widely traded benchmark index.
- The NSE, on the other hand, was founded in 1992 and started trading in 1994. S & P crisil NSE index 50 or S & P CNX nifty. National Stock Exchange (NSE) had developed and launched the NSE Mumbai inter- bank bid rate (MIBID) and NSE Mumbai inter-bank offer rate (MIBOR) for the overnight money market in 1998

International Stock exchange

- The India International Exchange (INX) is India's first international stock exchange, opened in 2017.:
- It is located in the state of Gujarat. It is one of the most advanced stock exchanges in the world.

Demutualization means ownership, management and trading is in the hands of three different sets of people. This concept was first brought in by National Stock Exchange of India Ltd.

BSE SME and NSE Emerge: SME exchange platform to enable small and medium enterprises to raise funds and get listed as public entities.

Commodity exchanges

- It is an independent commodity exchange based in India. It was established in 2003 and is based in Mumbai
- Commodities traded include metal, bullion, agro-commodities, energy etc.
- It was regulated by Forward market commission (Ministry of Consumer affairs), it was merged with SEBI in 2015

Terminologies:

- **Bear:** is an investor who believes that market will go down.
- **Bull:** is an investor who believes that market will go up.
- **Bear market:** a sustained period of falling stock prices.
- **Bull market:** period characterized by rising prices over a long period of time.
- **Gilt:** it is a bond issued by the government which carries less risk.
- **Blue chip Company:** shares of the company that are the most valuable.
- **Retail investor:** it is an investor whose subscription to securities if of value less than 2 lakh.
- **Negotiated dealing system:** it is an electronic platform for facilitating dealing in government securities and money market instruments.

Short selling

- Market capitalization: price per share multiplied by the total number of shares outstanding.
- Depository: it holds securities (shares, debentures, bonds) electronic format in



National Securities Depository Limited (NSDL)

- It holds securities in depository accounts, just like funds in bank in accounts.
- NSDL was established according to depositories act, 1996.
- Nasdaq: is an electronic stock market that uses a computerized system to provide price quotes to brokers and dealers.
- Shariah index: The NIFTY Shariah Indices are designed to offer investors Shariah-compliant investment solutions. Shariah compliant companies are ones who do not deal in alcohol, entertainment, tobacco, pork, meat etc

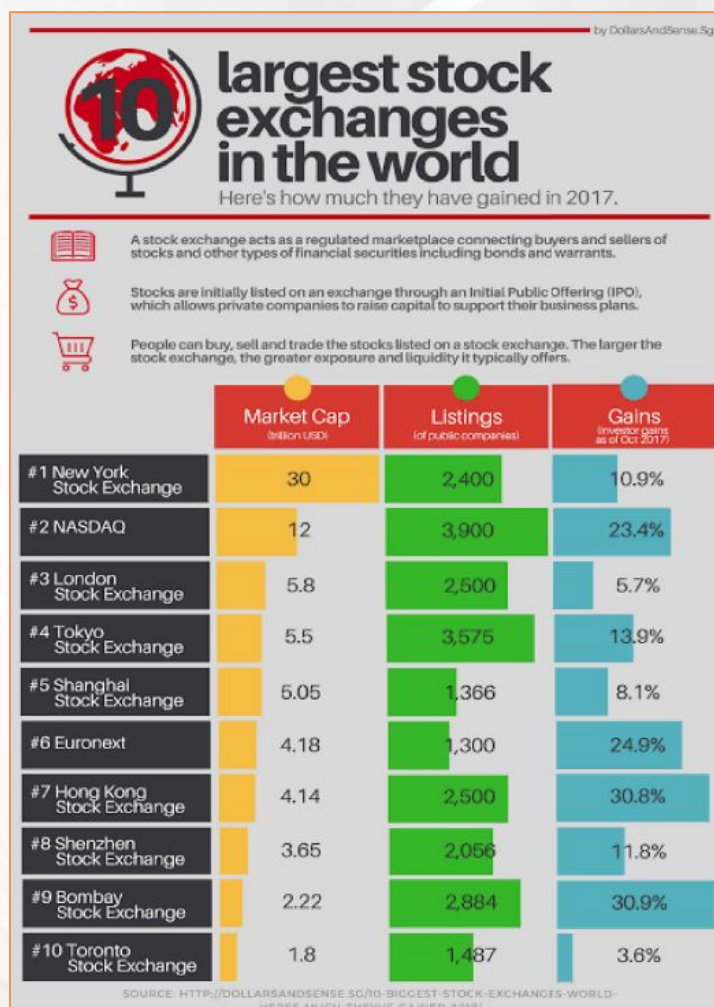
Pension Fund Regulatory and Development Authority (PFRDA)

- Pension Fund regulatory is a pension related authority, which was established in the year 2003 by the Indian Government,
- It is authorized by the Finance Ministry, and it helps in promoting income security of old age by regulating and also pension funds. developing

Insurance Regulatory and Development Authority of India (IRDAI)

- The Insurance Regulatory and Development Authority (IRDA) is a national agency of the Government of India.
- It was formed by an Act of Indian Parliament known as IRDA Act 1999, which was amended in 2002 to incorporate some requirements. emerging
- Insurance Regulatory and Development Authority of India is the regulator of all private sector insurance business and public sector insurance business in India.
- IRDA issues guidelines for various insurance companies.

Largest Stock Exchanges in the world



8. Inflation

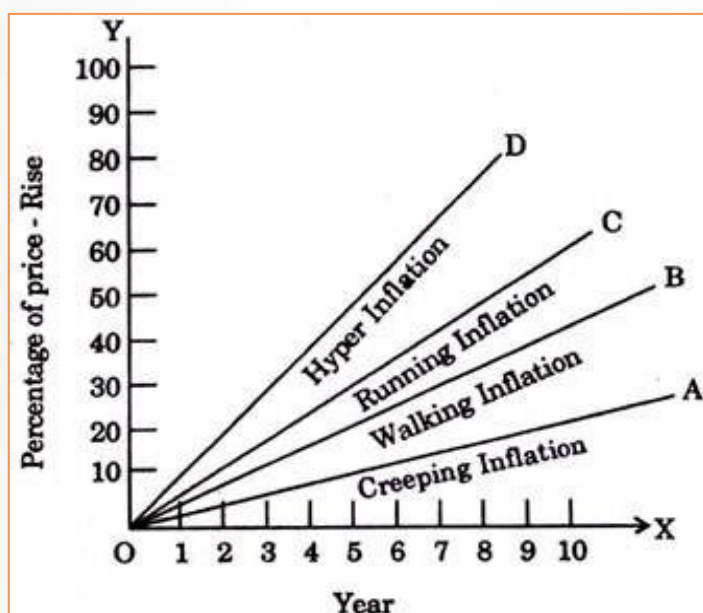
Inflation is persistent rise in the price of goods and services.

Causes of Inflation

1. **Demand-pull inflation:** "too much money chasing too few goods." As wages increase within an economic system, people will have more money to spend on consumer goods. As a result of the increased demand, companies will raise prices.
2. **Cost-push inflation:** when companies are faced with increased input costs like raw goods, materials or wages, they will preserve their profitability by passing this increased cost of production onto the consumer in the form of higher prices.
3. **Imported inflation:** When the exchange rate suffers such that the Rupee currency has become less valuable relative to foreign currency, this makes foreign commodities and goods more expensive to Indian consumers.
4. **Structural inflation:** Persistent inflation due to inadequacies in economy like backward agriculture, inefficient storage and distribution network etc.
5. **Speculation exchanges:** in commodity exchanges.
6. **Cartelization of Producers:** producers manipulate prices in market for their profit.
7. **Hoarding:** accumulation of huge quantities of goods and releasing them into market in condition of scarcity at higher prices.

Kinds of inflation based on the rate of inflation

Creeping (General Price Raise By 4%), Trotting (4% To 8%), Galloping (8% To 10%), Runaway (>10% And < 20%), Hyper Inflation (20 Or 30%)



Terminologies:

1. **Stagflation:** A combination of Inflation and unemployment (usually in the time of Recession)
2. **Disinflation:** Reduction in the rate of inflation.
3. **Deflation:** General fall in the level of prices.
4. **Reflation:** Rise in the prices to counter deflation. It is when inflation returns after a spell of deflation and recession.
5. **Skewflation:** It is a phenomenon in which there is a price rise of one or a small group of commodities over sustained period of time
6. **Inflation gap:** Excess of government spending above national income.
7. **Deflationary gap:** Shortfall in total spending over national income.

Terminologies:

8. **Inflation tax:** Due to price rise, wages increase, as wage increases taxes on this increase, more revenue for government.
9. **Inflation spiral:** wage price spiral ie., when wages press prices up and prices pull wages down.
10. **Inflation accounting:** Firms calculate profit after adjusting to inflation.
11. **Inflation premium:** Bonus brought by inflation to borrowers. Real interest rate (nominal IR adjusted to inflation) < nominal interest rate (charged on lending)
12. **Headline inflation:** Entire economic inflation.
13. **Core inflation:** Excluding primary articles, food etc which induces volatility/short term fluctuations

Effects of Inflation:

1. **Creditors and debtors:** Lenders suffer and debtors benefit. lending intuition will suffer.
2. **Aggregate demand:** High demand, low supply, higher purchasing power.
3. **Investment:** short run boost the investment.
 - A. High inflation high demand more production investment. more
 - B. Inflation lowers rate of interest.
 Long run saving decreases, purchasing power decreases, less investment, less demand.
4. **Saving:** short run-saving increases Long run-saving decreases
5. **Tax-2 distortions**
 - A. **Tax payer suffers.**
Indirect tax as value is added cost increases more goods in tax bracket (more taxes)
Direct tax gross income Increases crosses lower tax slabs- increases taxes.
 - B. **Tax collection by government**
Inflation increases nominal value of gross tax revenue while real value suffers.
6. **Exchange rate:** As Inflation increases currency depreciates.
7. **Export:** Increases (depreciation of currency), volume of exports also increases.

8. **Import:** foreign goods become costlier as currency depreciates, import substitution measure would be taken.
9. **Trade balance:** Developed countries inflation is favourable. Developing countries inflation unfavourable.
10. **Employment:** In short run employment increases, but decreases in long run.
11. **Wages:** Increases nominal value of wage but real value falls.

Inflation Indices

In India, generally, two kinds of indices are used to measure inflation-Wholesale Price Index (WPI) and Consumer Price Index (CPI).

Wholesale Price Index (WPI)	Consumer Price Index (CPI)
Measures and tracks the changes in the price of goods in the stages before the retail level.	Measures change in retail prices of goods and services consumed by a defined population group in a given area with reference to a base year.
Composed of three groups: Manufactured Products (65% of total weight), Primary Articles like food, etc. (20.1%), and Fuel and Power (14.9%).	CPI (Rural, Urban, Combined) on Base 2012=100 is being prepared.
Maximum weightage is given to Manufactured Products.	Maximum weightage is given to Food and Beverages.
Calculated by the Ministry of Commerce and Industry.	Prepared by the Ministry of Statistics and Programme Implementation.
Base Year - 2012	Base Year - 2012=100 (Rural, Urban, Combined)

Four types of CPI are as follows:

- (i) CPI for Industrial Workers (IW).
- (ii) CPI for Agricultural Labourer (AL).
- (iii) CPI for Rural Labourer (RL).
- (iv) CPI (Rural/Urban/Combined)

Of these, the first three are compiled by the Labour Bureau in the Ministry of Labour and Employment. Fourth is compiled by the Central Statistical Organisation (CSO) in the Ministry of Statistics and Programme Implementation.

GDP deflator and inflation.

- The GDP deflator, also called implicit price deflator, is a measure of inflation.
- GDP deflator (GDP nominal/GDP real) *100
- The deflator covers the entire range of goods and services produced in the economy as against the limited commodity baskets for the wholesale or consumer price indices
- GDP deflator is available only on a quarterly basis along with GDP estimates, whereas CPI and WPI data are released every month.

Producer Price Index

- It measures the average change in the prices of both goods and services, either as they leave the place of production called Output PPI or as they enter the input production process called as input PPI; thus, PPI estimates the change in average prices that a producer receives.
- While WPI does not include services, but PPI includes services thus making the index more inclusive.
- PPI eliminates the multiple counting bias which is inherent in the Wholesale Price Index.
- In PPI the weights of the items are derived based on Supply use Tables.
- PPI is considered as a better measure of inflation as the price change at the primary and intermediate stage can be tracked before it gets built in the finished good stage and due to this reason, many countries have switched over to the PPI.

Base effect and inflation

- The base effect relates to inflation in the corresponding period of the previous year, if the inflation rate was too low in the corresponding period of the previous year, even a smaller rise in the Price Index will arithmetically give a high rate of inflation

Inflation targeting

- Inflation targeting is a monetary policy strategy used by Central Banks for maintaining price level at a certain level or within a range. It indicates the primacy of price stability as the key objective of monetary policy.
- The Reserve Bank of India and Government of India signed a Monetary Policy Framework Agreement
- RBI would aim to contain consumer price inflation within 6 percent and within 4 percent with a band of (+/-) 2 percent)

Monetary Policy Committee (MPC)

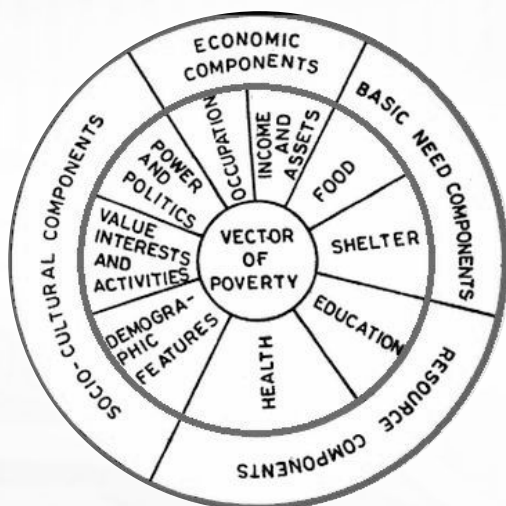
- MPC would be the institutional arrangement at the disposal of RBI for targeting inflation.
- The committee comprises six members three officials of the Reserve Bank of India and three external members nominated by the Government of India.
- The Governor of Reserve Bank of India is the chairperson ex officio of the committee.
- Decisions are taken by majority with the Governor having the casting vote in case of a tie. The current mandate of the committee is to maintain 4% annual inflation until March 31, 2021 with an upper tolerance of 6% and a lower tolerance of 2%.

9. Poverty

Poverty is a social phenomenon in which there is deprivation of basic human needs.

- **Absolute Poverty:** it is defined as condition characterized by severe deprivation of basic human needs.
- **Relative poverty:** it is defined as condition in which people lack the minimum amount of income needed in order to maintain the average standard of living in the society in which they live.
- **Poverty line:** it is the level of income below which one cannot afford to purchase all resources one requires to live.
- **Headcount ratio:** Percentage of population below poverty line to total population.
- **Poverty gap:** it is difference between the mean income among the poor and the poverty line.

Causes:



Committees:

YK Alagh Committee:

1. First to come up with an official poverty line, based on calorie intake.
2. 2100 calorie in Urban areas, 2400 calories in rural areas.

Tendulkar Methodology:

- Committee headed by Suresh Tendulkar. India currently follows this method,
- Changed calorie-based estimation to expenditure based.
- Introduce a new term Poverty Line Basket (PLB) which is the basket of all goods selected to determine poverty.
- Consumption quantity fixed the same for both rural and urban people but price differs. Daily per capita expenditure for Rural Rs. 27, Daily per capita expenditure for Urban- Rs. 33.
- Estimated that 21.5% of the Indian population as poor.

Rangarajan Committee:

- Adopted the calorie-based approach which was used in past.
- Monthly consumption expenditure per person or per household as a tool, Daily per capita expenditure for Rural Rs. 33 and Daily per capita expenditure for Urban- Rs. 47
- Overall poverty- 29.5 Percent (in the year 2011-12)
- Rural- 30.9 Percent (in the year 2011-12)
- Urban- 26.4 Percent (in the year 2011-12)

SECC Methodology:

- To estimate the BPL population, SECC followed a three-step process:
- Automatic Exclusion.
- Automatic Inclusion.
- Neither automatically included nor automatically excluded.
- After applying above methodology, it was found that the percentage of people below the poverty line in 2011-12 was 30.95 percent in rural areas and 26.4 percent in urban areas.

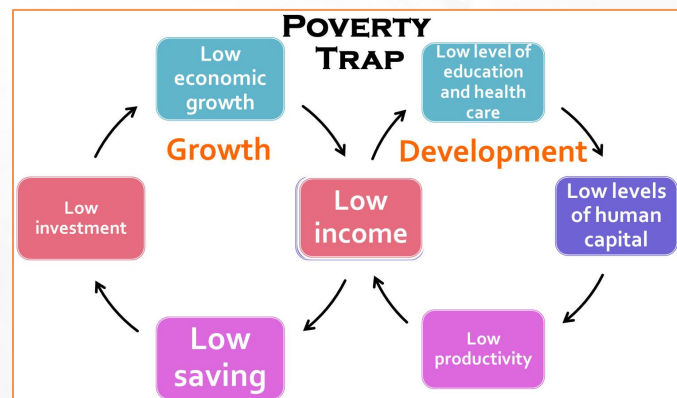
Covid 19 and Poverty

- According to a UNICEF report, an estimated 120 million of children living in South Asian countries, including India, could slip into poverty.
- According to a UN report, Covid-19 pandemic will disproportionately affect women and push 47 million more women and girls into extreme poverty by 2021. The poverty rate for women was expected to decrease by 2.7 per cent between 2019 and 2021, but projections now point to an increase of 9.1 per cent due to the pandemic and its fallout

Components:

- Food component
- Non-food component such as, Education Clothing, Conveyance, Rent, Behavior related expenditures.

Poverty Trap:



Committee	Year	Constituted by	Based On	Rural Calories	Urban Calories	Rural Rupees	Urban Rupees	Poor Definition	Percent Poor	Other Observations
Y K Alagh Committee	1979	Planning Commission	Calories	2400 kcal	2100 kcal			People consuming less than 2100 calories in urban areas or less than 2400 calories in rural areas	16 percent	Y K Alagh eventually defined the first poverty line in India.
Lakdawala Committee	1993	Planning Commission Expert Group	Poverty line based on household per capita consumption expenditure.	2400 kcal	2100 kcal	Rs. 446.68 per capita per month	Rs. 578.80 per capita per month	All persons who live in households with per capita expenditures below the estimated value.	36.3 percent	Assumption; health and education is taken care by the state.
Tendulkar Committee	2005	Planning Commission Expert Group	Calories in addition to clothing, education, shelter.	2090 kcal	50g protein			Based on cost of living	21.9% (2011-12)	State-specific poverty lines should be updated using the CPI-IW in urban areas and CPI-AL in rural areas.

Committee	Year	Constituted by	Based On	Rural Calories	Urban Calories	Rural Rupees	Urban Rupees	Poor Definition	Percent Poor	Other Observations
Saxena Committee	2009	Ministry of Rural Development	Basket of consumption goods including nutrition and other non-essential food items	48g protein	28g fat			A household is considered poor if it is unable to save.	29.5% (2011-12)	Methodology of automatic inclusion and automatic exclusion on BPL. Shift from calorie-based to consumption-based poverty estimation.
Rangarajan Committee	2013	Government of India	Calories, monthly spending on education, health, electricity, and transport	2155 kcal		Rs. 972 per capita per month	Rs. 1181 per capita per month			Poverty estimated was 7% higher than Tendulkar committee estimation

10. Unemployment

Unemployment is a phenomenon that occurs when a person who is capable of working and is actively searching for the work is unable to find work.

Unemployment Statistics in India

Unemployment in India statistics is released once every five years by the Ministry of Labour and Employment (MLE), primarily from sample studies conducted by the National Sample Survey Office.

Unemployment Trends in India The Periodic Labour Force Survey (PLFS) of the National Sample Survey Office (NSSO)

- The unemployment rate in the country in FY18 was at 5.3% in rural India and 7.8% in urban India, resulting in overall unemployment rate of 6.1%.
- The unemployment rate (UR) in both rural and urban India is at its highest since 1972.

- 17.8% of young people (15-29 years) in the labour force are unemployed.
- The unemployment rates in urban areas are higher than those in rural areas.
- In urban areas, the unemployment rate among men is more than twice and has increased twice among women
- Among religious groups, Christians have the highest UR in both urban and rural areas.
- Regular wage/salaried workforce 8% in 2017-18 (7% in 2011-12) [other countries regular work salaried force is far higher than India. China (53.1%), Brazil (67.7%) and South Africa (84.8%)]

Key Employment and Unemployment Indicators

- A. Labour Force Participation Rate (LFPR):** LFPR is defined as the percentage of persons in labour force (i.e., working or seeking or available for work) in the population. Reckoner Page 56 nt and Unemployment Labour Force Participation Rate LFPR is defined as the percentage of persons in labour force (i.e., working or seeking or available for work) in the population
- B. Worker Population Ratio (WPR):** WPR is defined as the percentage of employed persons in the population.
- C. Proportion Unemployed (PU):** It is defined as the percentage of persons unemployed in the population.
- D. Unemployment Rate (UR):** UR is defined as the percentage of persons unemployed among the persons in the labour force.
- E. Activity Status Usual Status:** The activity status of a person is determined on the basis of the activities pursued by the person during the specified reference period. When the activity status is determined on the basis of the reference period of last 365 days preceding the date of survey, it is known as the usual activity status of the person.
- F. Activity Status Current Weekly Status (CWS):** The activity status determined on the basis of a reference period of last 7 days preceding the date of survey is known as the current weekly status (CWS) of the person.

Current Daily Status Unemployment (CDS):

- Here the reference period is each of the 7 days, preceding the date of survey in each of these days. It records the activity status of a person for each day of the 7 days preceding the survey i.e. persons who did not find work on a day or some days during the survey week. The Current daily status approach gives composite a or comprehensive measure of unemployment, i.e., it is a measure of chronic unemployment.

Labour Force:

- Persons who are either working (or employed) or seeking or available for work (or unemployed) during the reference period together constitute the labour force.

Work Force:

- All people in age group of 15 -59 years.

Work Force > Labour Force

Employment Rate:

- ratio of employed person population (15 to 59 years) to

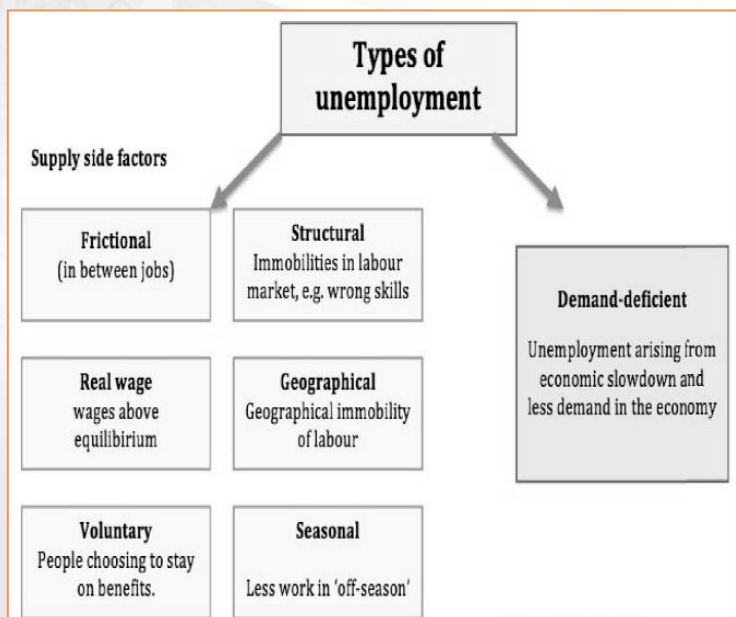
Employment Elasticity:

- Percentage changes in employment induced by changes in GDP, which captures responsiveness of labour market.

Employment Intensity:

- Extent to employment. which growth creates

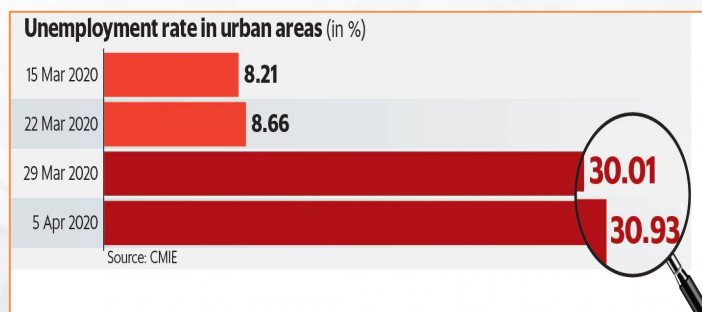
Types of Unemployment:



5. **Structural Unemployment:**
It refers to a situation which arises due to change in the structure of the economy or mismatch of skills. Ex: An economy transforms itself from a Labour-intensive economy to a Capital-intensive economy.
6. **Seasonal Unemployment:**
Seasonal unemployment occurs during certain seasons of the year. It occurs in Agricultural sector, Tourism sector and in factories producing seasonal goods. Therefore, they offer employment for only a certain period of time in a year.
7. **Disguised Unemployment:**
Disguised unemployment is when too many people are employed than what is required to produce efficiently. Production does not suffer even if some of the employed people are withdrawn, The key point to remember is that the marginal productivity of labourers under disguised unemployment is zero.
8. **Under Employment:**
Underemployment is the most dangerous kind of unemployment in an economy. Underemployment is a situation under which People with higher level of skills. are employed in less productive jobs. It simply means that the Labour force of the economy is not fully utilised as per their skills and experience.

Covid-19 and Unemployment

Early estimates of jobs data indicate that the coronavirus effect may have left a devastating impact on the economy, sending urban unemployment rate soaring to 30.9%. Overall unemployment rose to 23.4% according to Centre for Monitoring Indian Economy weekly tracker.



1. **Voluntary Unemployment:**
Voluntary unemployment refers to a situation where workers are either not seeking for work or are in transition from one job to another.
2. **Involuntary Unemployment:**
Involuntary unemployment refers to a situation where workers are seeking work and are willing to work but are unable to get work.
3. **Frictional Unemployment:**
The minimum amount of unemployment that prevails in an economy due to workers quitting their previous jobs and are searching for the new jobs is called Frictional Unemployment. This type of unemployment is of voluntary nature.
4. **Cyclical Unemployment:**
Cyclical unemployment is due to lack of demand in the economy and slowdown of economic activity. Cyclical unemployment is a type of unemployment which is related to the cyclical trends of booms and recessions of the business cycle. This type of unemployment is of involuntary nature.

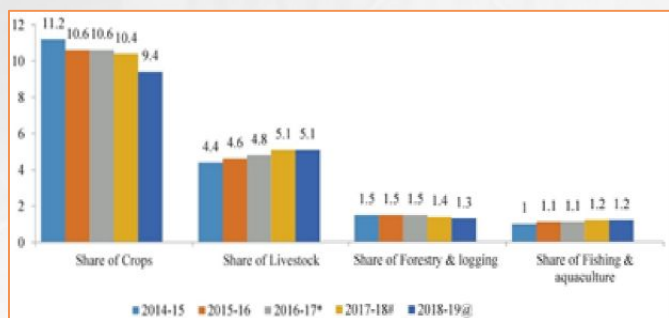
11. Agriculture

Agriculture remains the most important sector of the Indian economy, whether it be the pre-independence independence or the post – periods.

- In the fiscal 1950–51 agriculture accounted for 55.4 percent of the GDP.
- The Economic Survey 2017–18 states that agriculture employs more than 50% of total work force and 17– 18% share in GDP.

Share of agriculture in GDP

- Agriculture is the biggest unorganised sector of the economy accounting for more than 90 per cent share in the total unorganised labour–force.



Cropping Seasons:

The agricultural crop year in India is from July to June. The Indian cropping seasons are classified in to,

1. **Kharif:** The kharif cropping season is from July to October during the South–West Monsoon.
The kharif crops include Rice, maize, sorghum, pearl millet/bajra, finger millet/ragi (cereals), arhar (pulses), soyabean, groundnut (oilseeds), cotton etc.
2. **Rabi:** The rabi cropping season is from October to March during the North–East Monsoon.
The rabi crops include wheat, barley, oats (cereals), chickpea/ gram (pulses), linseed, mustard (oilseeds) etc.
3. **Zaid:** The crop season between March to June. Seasonal fruits and vegetables

Cropping

Cropping intensity:

- Number of crops cultivated in a piece of land per annum is cropping intensity.

Cropping pattern:

- The cropping pattern depends on a farm and its interactions with farm resources, other farm enterprises, and available technology which determine their makeup.
- Multiple cropping: Growing more than two crops in a piece of land in a year in orderly succession
- Intercropping: Growing two or more crops simultaneously with distinct row arrangement on the same field at same time.

Farming Systems

1. **Wetland farming:** Soils flooded or irrigated through lake, pond or canal and land is always in submerged condition.
2. **Dry land farming:** The practice of crop production entirely depending upon rainfall and the moisture conserved in the soil.
3. **Rain fed farming:** Crop production in areas where rainfall is, more than 750mm (i.e assured rainfall areas).
4. **Mixed farming:** System of farming on a particular farm which includes crop production, raising livestock, poultry, fisheries, beekeeping etc.
5. **Mixed cropping,** also known as polyculture, inter-cropping is a type of agriculture that involves planting two or more plants simultaneously in the same field, interdigitating the crops

6. **Strip cropping** is a method of farming which involves cultivating a field partitioned into long, narrow strips which are alternated in a crop rotation system. It is used when a slope is too steep or when there is no alternative method of preventing soil erosion.
7. **Contour bunding** is the farming practice of ploughing and/or planting across a slope following its elevation contour lines. These contour lines create a water break which reduces the formation of rills and gullies during times of heavy water run-off; which is a major cause of soil erosion.

Organic Farming

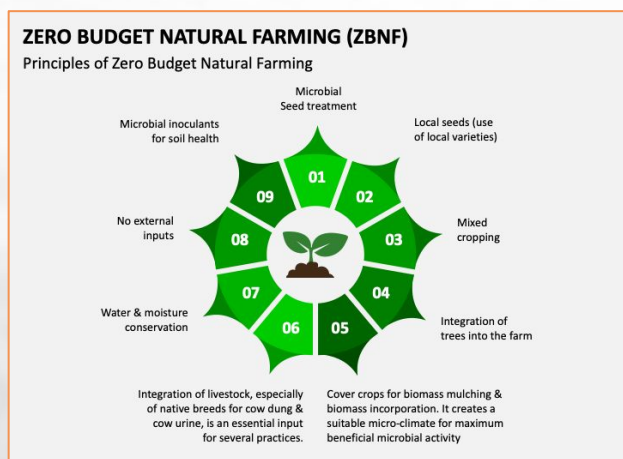
- Farming where all kinds of agricultural products are produced organically i.e, avoids or largely excludes the use of synthetic fertilizers, pesticides, growth regulators and livestock feed additives.

Integrated Farming System

- Integration of farm enterprises such as cropping systems, animal husbandry, fisheries, forestry etc. for optimal utilisation of resources bringing prosperity to the farmer.

Zero Budget Natural Farming

- Natural farming is "do nothing farming", no-till, no chemical use farming. It is use of locally available materials: seeds treated with COW dung and urine; soil rejuvenated with cow dung etc.,
- Zero budget refers to the zero net cost of production of all crops (inter crops, border crops, multi crops).



National Mission for Sustainable Agriculture:

- Aims at making agriculture more productive, sustainable and remunerative and climate resilient by promoting location specific integrated/composite farming systems; soil and moisture conservation comprehensive management; management measures; health water and soil efficient practices mainstreaming rainfed technologies.

Revolutions related to Agriculture

- **Green Revolution:** The Green Revolution, spreading over the period from 1967/68 to 1977/78, changed India's status from a food-deficient country to one of the world's leading agricultural nations.
- Use of high yielding variety (HYV) seeds, tractors, irrigation facilities, pesticides, and fertilizers resulted in increase in agricultural productivity.
- **White Revolution:** Operation Flood started the White Revolution in India and made our country self-sufficient in milk.
- **Yellow Revolution:** The growth, development and adoption of new varieties of oilseeds to increase the productivity.
- **Blue Revolution:** Fish Production
- **Red Revolution:** Meat, Tomato production
- **Pink Revolution:** Onions, prawns
- **Round Revolution:** Potato
- **Silver Revolution:** Egg production
- **Grey Revolution:** Fertilizers
- **Second Green Revolution:** The Second Green Revolution is a change in agricultural production widely thought necessary to feed and sustain the growing population on Earth.
- **Bringing Green Revolution in Eastern India (BGREI):** It is about bringing similar benefits to eastern India through green revolution.

Land Reforms

- At the time of independence ownership of land was concentrated in the hands of a few. This led to exploitation of farmers and was a major hurdle in socio-economic development of the rural population.
- Land reforms in India had three objectives,
 1. Removing institutional discrepancies of the agrarian structure inherited from the past.
 2. Issue of socioeconomic inequality in the country.
 3. Increasing agricultural production for solving the inter-related problems of poverty, malnutrition insecurity. and food

1st Generation Land Reforms Steps taken

1. Abolition of intermediaries
2. Tenancy reforms
3. Redistribution of land
4. Cooperative farming
5. Consolidation of land Except for abolishing the intermediaries all other initiatives have mixed results and certainly not satisfactory which varies from state to state. The most successful land reforms happened in WB and Kerala.

2nd Generation Land Reforms (Focused on Marketisation)

1. Land records computerization modernization/ Ex: The National Land Records Modernisation Programme (NLRMP).
2. Appropriate land compensation - Ex: LARR act, 2013.
3. Land leasing Ex: Model Agricultural Land Leasing Act, 2016 (T Haque committee).
4. Contract farming Ex: Draft Model Contract Farming Act, 2018.
5. Consolidation of land holdings so that huge machineries can be utilized Ex: by bringing people out of agriculture.
6. FDI in agricultural sector.
7. Use of land banks (ex: Odisha) and land pooling.

Land Acquisition, Rehabilitation and Resettlement Act (LAAR)

- Compensation: four times the market value in rural areas and twice the market value in urban areas.
- Rehabilitation and Resettlement:
- This is the very first law that links land acquisition and the accompanying obligations resettlement and rehabilitation Retrospective operation for
- Multiple checks and balances
- Special safeguards communities and for tribal other disadvantaged groups: PESA and FRA to be followed
- Displacement compensation only after
- Compensation for livelihood losers

Consent:

In cases where PPP projects are involved or acquisition is taking place for private companies, consent of no less than 70% and 80% respectively (in both cases) of those whose land is sought to be acquired.

- Caps on acquisition of multi-crop and agricultural land:
- Return of unutilized land to the owner or to the State Land Bank.
- Exemption from income tax and stamp duty on amount given as compensation
- Share in appreciated land value: Where the acquired land is sold to a third party for a higher price, 40% of the appreciated land value (or profit) will be shared with the original owners.

Agricultural holdings:

- The average size of land holding in India is continuously decreasing due to rapid and high population growth.
- The average landholding size of a household has shrunk marginally to 1.1 hectare (ha) in 2015-16 from 1.16 ha in 2012-13.
- The percentage of female operational land holders increased from 12.79% in 2010-11 to 13.87% in 2015-16.
- 86.21% of India's cultivated farmland is held by small and marginal farmers with less than two hectares of land, while those with 10 hectares and more account for just 0.57%.

Minimum Support Price (MSP)

- Minimum Support Price (MSP) is a form of market intervention by the Government of India to insure agricultural producers against any sharp fall in farm prices –a guarantee price to save farmers from distress sale.
- The MSPs are announced at the beginning of the sowing season for certain crops on the basis of the recommendations of the **Commission for Agricultural Costs and Prices (CACP, 1985)**.
- MSPs are announced for 24 commodities including seven cereals (paddy, wheat, barley, jowar, bajra, maize and ragi); five pulses (gram, arhar/tur, moong, urad and lentil); eight oilseeds (groundnut, rapeseed/mustard, toria, soyabean, sunflower seed, sesamum, safflower seed and nigerseed); copra, raw cotton, raw jute and virginia flu cured (VFC) tobacco.

Calculation of MSP

According to the formula prescribed by the **Swaminathan Committee** variables that determine production cost

1. A2
2. A2+FL
3. C2

A2 includes out-of-pocket expenses borne by farmers, such as term loans for machinery, fertilisers, fuel, irrigation, cost of hired labour and leasing land.

New Method

- Budget for 2018-19 announced that MSPs would henceforth be fixed at $12\frac{1}{2}$ times of production costs for crops as determined principle". a "pre-
- $[(A2+FL) * 1.5]$
- **This will be the official MSP**
- A2 farmer Actual costs incurred by 01 seeds, hired fertilizer, labour, pesticides, depreciation on farm
- Buildings & machinery, interest on working capital, diesel/electricity for tractor/pump sets etc. FL Imputed cost of (unpaid) family labour.

The Comprehensive Cost (Cost C2) Method

- The Comprehensive Cost (C2) is more reflective of the actual cost of production since it takes it accounts for rent and interest foregone on owned land and machinery, over and above the A2+FL rate.
- The ideal formula according to the M.S Swaminathan. recommendation would be: **Committee MSP C250% of C2.**

Fair and Remunerative Price (FRP)- Sugarcane

- FRP is used in sugarcane industry to replace the MSP
- It is based DD the Rangarajan Committee report of reorganizing the sugarcane industry.
- FRP is announced by central government.
- Like MSP, FRP is also based on the recommendation of the Commission for Agricultural Costs and Prices (CACP) and are announced by the Cabinet Committee on Economic Affairs, which is chaired by Prime Minister.
- The State Advised Prices (SAP) are announced by key sugarcane producing states which are generally higher than FRP.

Market Intervention Scheme (MIS)

- The Market Intervention Scheme (MIS) is similar to MSP, which is implemented on the request of state governments for procurement of perishable and horticultural commodities in the event of fall in market prices.

Price Stabilization Fund (PSF)

- It is a Central Sector Scheme to support market interventions for price control of perishable agri horticultural commodities.
- Pradhan Mantri Annadata Aay Sanrakshan Abhiyan (PM-AASHA):
- to ensure that poor farmers growing pulses and oilseeds benefit from higher minimum support prices (MSPs).

Farm Subsidies

- **Direct farm subsidies:** These are the kinds of subsidies in which direct cash incentives are paid to the farmers in order to make their products more competitive in the global markets.
- **Indirect farm subsidies:** These are the farm subsidies which are provided in the form of cheaper credit facilities, farm loan waiver, reduction in irrigation and electricity bills, fertilizers, seeds and pesticides subsidy as well as the investments in agricultural research, environmental assistance, farmer training, etc.
- The World Trade Organization (WTO) has put some ceilings on the amount of direct and indirect subsidies being provided by the government.

Irrigation

- **Major Irrigation Schemes:** those with cultivable command areas (CCA) of more than 10,000 hectares.
- **Medium Irrigation Schemes:** those with cultivable command areas (CCA) between 2,000 and 10,000 hectares.
- **Minor Irrigation Schemes:** those with cultivable command area (CCA) up to 2,000 hectares.
- **Rural Infrastructure Development Fund (RIDF):** With a view to ensuring early completion of projects for providing irrigation.
- **Accelerated Irrigation Benefits Programme (AIBP):** loan assistance to the states to help them complete some of the incomplete major/medium irrigation projects, which were in an advanced stage of completion.

Doubling Farm Income

Government of India has announced a 'seven-point strategy' which aims to double the farm income by 2022.

1. Emphasis on irrigation along with end-to-end solution on creation of resources for 'More crop per drop'
2. Provision of quality seeds and nutrients according to the soil quality of each farm.
3. Large investments in warehouses and cold chains to prevent Post-harvest losses.
4. Promotion of value addition through food processing.

5. Implementation of Agricultural Markets National and e- platforms (e-NAM) to eliminate shortcomings of all the 585 centers.
6. To mitigate the risk, introduction of crop insurance scheme at a lower cost.
7. Promotion of allied activities such as. Dairy-Animal husbandry, Poultry, Bee-keeping, Medh Per Horticulture, and Fisheries. Ped,

Ashok Dalwai Committee:

- The committee constituted in 2016, reported that Doubling Farmers' income deserves attention.
- The solutions were categorized into 4 areas; Land, Access to Market, Increase in productivity and Diversification towards high-yield crops and non-farm activities.

Major Recommendations:

- The committee has called for placing agricultural marketing in the Concurrent list which facilitates one-India market concept.
- Recommended greater private sector participation in agri-marketing and logistics.
- Farmer producer and village producer organisations (FPO/VPO) could play a critical role in integrating small and marginal farmers into the agricultural market system.
- Key aspect of doubling farmers' income is to focus on export. The aim should be to raise agricultural export by a minimum of three times by 2022-23.
- Climate Smart Agriculture (CSA)
- Climate-smart agriculture (CSA) is an approach that helps to guide actions needed to transform and reorient agricultural systems to effectively support development and ensure food security in a changing climate

CSA aims to tackle three main objectives:

1. Sustainably increasing agricultural productivity and incomes.
2. Adapting and building resilience to climate change.
3. Reducing and/or removing greenhouse gas emissions, where possible.

NABARD

- Established under NABARD Act of 1981 with an objective of providing and regulating credit to farmers, small scale industries, cottage and village industries, handicrafts etc in rural areas.
- Refinances the financial institutions like state cooperative agriculture and rural development banks (SCARDBs), state co-operative banks (SCBs), regional rural banks (RRBs), commercial banks (CBs) which finances the rural sector.
- Promotes SHG-Bank linkage programme for encouraging banks to lend to SHGs.

Long Term Irrigation Fund (LTIF):

- it has been established in NABARD during Budget 2016-17, as a part of PMKSY with an initial corpus of 20,000 cr

Agri Export Zones

- It was introduced in 2001, through EXIM Policy 1997-2001, for the purpose of developing and sourcing the raw materials, their processing/packaging, leading to final exports, along with convergence of central and state government schemes. 60 Agri Export Zones (AEZ) have been notified.

Agriculture Census

- Agriculture Census in India is conducted at every five-year interval to collect data on structural aspects of farm holdings. The basic statistical unit for data collection is 'Operational Holding'.
- The first census was conducted with reference year 1970-71. So far, nine censuses have been done and this is the 10th in series.
- Operational holding has been defined as all land used wholly or partly for agricultural production.
- Total operated area, which includes both cultivated and uncultivated area provided part of it is put to farm production during the reference period.

Agricultural Cess:

- Union Finance Minister proposed the imposition of Agriculture Infrastructure and Development Cess (AIDC) during the Union Budget 2021. She announced AIDC of Rs 2.5 per litre on petrol and Rs 4 per litre on diesel. The cess is not uniform and will vary from product to product.

Farm Bills:

1. **The farmers' produce trade and commerce (promotion and facilitation) act, 2020**
 - The Act allows intra-state and inter-state trade of farmers' produce outside: (i) the physical premises of market yards run by market committees formed under the state APMC Acts and (ii) other markets notified under the state APMC Acts.
 - It permits the electronic trading of scheduled farmers' produce in the specified trade area.
 - The Act prohibits state governments from levying any market fee, cess or levy on farmers, traders, and electronic trading platforms for trade of farmers' produce conducted in an 'outside trade area'.
2. **The farmers (empowerment and protection) agreement on price assurance and farm services act, 2020**
 - The Act provides for a farming agreement between a farmer and a buyer prior to the production or rearing of any farm produce.
 - The price of farming produce should be mentioned in the agreement
 - A farming agreement must provide for a conciliation board as well as a conciliation process for settlement of dispute
3. **The essential commodities (amendment) act, 2020**
 - The Act provides that the central government may regulate the supply of certain food items. including cereals, pulses, potatoes, onions, edible oilseeds, and oils, only under

12. Industry and Infrastructure

Public

- In PSU the majority of the shares is owned by government directly or indirectly through government institutions.

Departmental

Undertaking:

- Set up by executive actions, for specifically defined functions, subject to budgetary, audit and other controls of government.

Statutory

Corporations:

- Set up by the act of legislature, engaged in economic and manufacturing activity. These are separate legal entities. Financing is not part of the budget.

Control

Boards:

- They are set up to manage government projects.

Cooperative

Society

Form:

- To support cooperative movement.
- Last type is companies registered under companies act. Post new industrial policy 1991, only 3 industries are reserved, they are,
 1. Atomic energy.
 2. Minerals specified in the schedule to atomic energy act.
 3. Railway passenger transport.

Industries which require compulsory licensing involves:

1. Drugs and pharmaceuticals.
2. Hazardous chemicals.
3. Gun powder, industrial explosives etc.
4. Aerospace and defence related electronics.
5. Alcohol drinks.
6. Tobacco, cigarette and related products.

Disinvestment:

- It is the sale of shares of the government to retail public/employees etc. there is no change in the management as government holds the majority equity.

Privatisation:

- The government sells chunk of equity to a single buyer-26% or 51% to whom management is

Corporatization:

- Government units are reorganised on the lines of business.

Cross

Holdings:

- State owned companies buy shares of one another as the companies are related and have synergies.

Navratna

- Government introduced in Navratna concept in 1997, it granted enhanced autonomy to nine selected PSEs referred to as "Navratna". These Navratna were subject certain guidelines now they have freedom to incur capital expenditure decide upon joint ventures set up subsidiaries/offices abroad enter into technological and strategic alliances. They can raise funds from capital markets (International and Domestic) enjoy substantial operational and managerial autonomy. Boards of these PSEs have been board based with induction of nonofficial part time professional directors.
- Invest up to rupees 1000 crores or 15% of their net worth on single project without seeking government approval

Miniratna Companies

- **Category 1 Miniratna** There are PSEs that have made profits continuously for the last 3 years and earned net profit of rupees 30 crores or more in one of the three years. These Miniratna are granted certain autonomy like incurring capital expenditure without government approval up to rupees 500 crores or equal to their net worth whichever is lower. There are 48 Miniratna bridge and roof Company (India) Limited as added late in 2010.

Category II Miniratna

- This category includes those PSEs which have made profit for the last 3 years continuously and should have a positive net worth. Category II Miniratna have autonomy to incurring the capital expenditure without government approval up to rupees 300 crores or up to 50% of their net worth whichever is lower. There are 14 such Miniratna Bharat pumps and Compressors Limited was added late in 2010.

Maharatna

- The category of PSEs was created in 2011. To be eligible for the grant of the Maharatna status the company should have an average turnover of over RS 25000 crores average, annual net worth of more than 15000 crores and average annual net profit of over rupees 5,000 crore during the last 3 years. Maharatna status it's board would not be required to take the government permission for investments up to rupees 5000 crores in a joint venture project or wholly owned subsidiary. For the Navratna companies, the limit is rupees 1000 crore.

NIF-National Investment Fund

- The proceeds from disinvestment of UPUSs will be channelised into NIFs, which is to be maintained outside the consolidated Fund of India.
- 75% of the annual income of finance selected social sector schemes, which promote education, health and employment. The residual 25% of the annual income of the fund will be used to meet the capital investment requirements of profitable and revivable CPSUs that yield adequate returns.

Exchange Traded Fund:

- It will cumulate the shares of selected PSUs proposed for disinvestment under a single fund. Then these accumulated shares are divided into different units/shares. The value of one unit depends upon prices of underlying PSU shares. These units can be listed in the stock exchange as ETF and can be traded like ordinary shares.

Bharath-22

- Bharath -22 has 19 central public sector enterprises, government banks and some holdings of the government investment arm SUUTI.
- Public Private Partnership means an arrangement between a government / statutory entity / government owned entity on one side and a private sector entity on the other.

Build Operate Transfer (BOT-TOLL and BOT-ANNUITY)

- Private partner is responsible to design, build, operate (during the contracted period) and transfer back the facility to the public sector.
- Role of the private sector partner is to bring the finance for the project and take the responsibility to construct and maintain it.
- In return, the public sector will allow it to collect revenue from the users in BOT -Toll model and Government pays an annual fee in BOT- Annuity model
- The national highway projects contracted out by NHAI under PPP mode is a major example for the BOT model.

Engineer Procure Construct Model (EPC):

- Under this system the entire project is funded by the government.
- The EPC entails the contractor build the project by designing, installing and procuring necessary labour and land to construct the infrastructure, either directly or by subcontracting.
- Under EPC model the contractor is legally responsible to complete the project under some fixed predetermined timeline and may also involve scope for penalty in case of time overrun.
- In EPC as all the clearances, land acquisition and regulatory norms have to be completed by the government itself and the private players do not have to get itself involved in these time taking procedures.

Hybrid Annuity Model:

- In India, the new HAM is a mix of BOT Annuity and EPC models. As per the design, the government will contribute to 40% of the project cost in the first five years through annual payments (annuity). Whereas the remaining 60% is raised by developer from equity or loan as variable depending upon the value of assets created.
- Under HAM, Revenue collection would be the responsibility of the National Highways Authority of India (NHAI). The developer doesn't have right to collect revenue.

Swiss Challenge

- A 'Swiss Challenge' is a way to award a project to a private player on an unsolicited proposal
- Such projects may not be in the bouquet of projects planned by the state or a state-owned agency, but are considered given the gaps in physical or social infrastructure that they propose to fill, and the innovation and enterprise that private players bring.
- The government may enter into direct negotiations with a private player who submits a proposal and, if they cannot agree on the terms of the project, consider calling for bids from other interested players.
- In one variant of the Challenge, the government awards bonus points to the project's ideate; in another, it calls for comparative bids, but gives the first right of refusal to the original player.

The Government has facilitated the PPP sector by offering:

- **Viability Gap Funding (VGF)** Means a grant one-time or deferred, provided to support infrastructure projects that are economically justified but fall short of financial viability. VGF subsidy up to 40% of the cost of the project can be accessed in the form of a capital grant.
- **India Infrastructure Project Development Fund (IIPDF)**- Scheme supports the Central and the State Governments and local bodies through financial support for project development activities (feasibility reports, project structuring etc) for PPP projects IIFCL - long-term debt for financing infrastructure projects that typically involve long gestation periods since debt finance for such projects should be of a sufficient.
- **Foreign Direct Investment (FDI)** - up to 100% FDI in equity of SPVs in the PPP sector is allowed on the automatic route for most sectors.

13. Balance of Payments (BoP)

External Sector

All economic activities of an economy which take place in foreign currency fall in the external sector such as export, import, foreign investment, external debt, current account, capital account, balance of payment, etc.

Closed and open economics

Aspect	Closed Economy	Open Economy
Economic Relations	Does not have economic relations with the rest of the world	An open economy has economic relations with other countries
Impact of External Activities	Activities taking place outside the territory do not affect the economic activities	Economic activities of such an economy are affected by international fluctuations
National Income vs Domestic Income	There is no difference between national income and domestic income	The size of national income may be greater or smaller than the domestic income
Realism	It is an imaginary economy	It is a realistic economy

Top 10 Exports of India

Rank	Category
1	Mineral Fuels (including oil)
2	Vehicles Other Than Railway or Tramway
3	Gems & Precious Metals
4	Machinery including Computers
5	Electrical Machinery & Equipment
6	Pharmaceuticals
7	Cutting & Accessories (including knit or crocheted clothing)
8	Iron and Steel
9	Organic Chemicals
10	Clothing Accessories (including knit or crocheted)

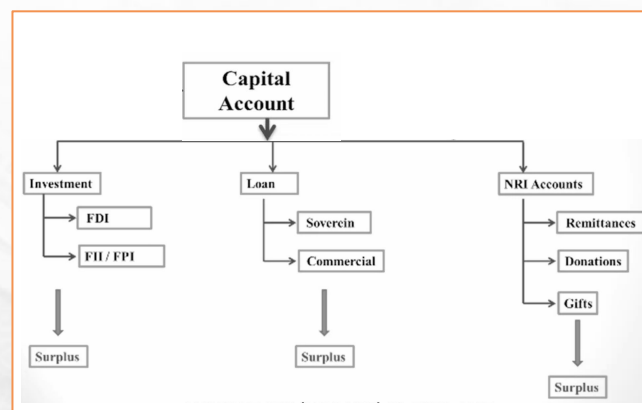
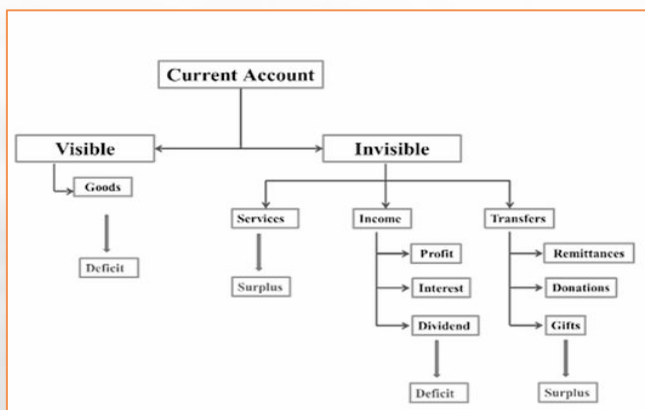
Top 10 Imports of India

Rank	Category
1	Gems & Precious Metals
2	Mineral Fuels (including oil)
3	Electrical Machinery & Equipment
4	Machinery including Computers
5	Organic Chemicals
6	Plastics
7	Iron and Steel
8	Optical, Technical & Medical Apparatus
9	Animal and Vegetable Oils and Waxes
10	Vehicles Other Than Railway or Tramway

Balance of Payments (BoP)

- The Balance of Payments (BoP) is the international balance sheet of a nation that records all international transactions in goods, services, and assets over a year.
- Balance of payment consists of Balance of trade, balance of current account and capital account.
- The balance of payments divides transactions in two accounts: the current account and the capital account.

Feature	Current Account	Capital Account
Nature	Short term implication transactions	Long term transactions
Inclusions	Export and import of goods and services, repayments, dividends, transfers, investments	Investment and borrowing
Components	1. Merchandise transactions (export and import of goods) 2. Invisible trade (export and import of services) 3. Unilateral unrequited transfers (one-sided transactions) 4. Income receipts and payments (investment income)	1. Borrowing and lending to/from foreign countries 2. Investments to/from foreign countries 3. Foreign Direct Investment (FDI) 4. Foreign Portfolio Investment (FPI) 5. Changes in Foreign Exchange Reserves
Merchandise Transactions	Export and import of goods	
Invisible Trade	Export and import of services	
Unilateral Unrequited Transfers	One-sided transactions	
Income Receipts and Payments	Investment income	
Borrowing and Lending		Borrowing and lending to/from foreign countries
Investments		Investments to/from foreign countries
Foreign Direct Investment (FDI)		FDI
Foreign Portfolio Investment (FPI)		FPI
Changes in Foreign Exchange Reserves		Changes in Foreign Exchange Reserves



Current Account Deficit (CAD)

- Current account deficit = balance of trade (exports imports) + net factor income (interest, dividends etc) + net transfer payment (foreign aid)

Factors influencing Current Account deficit (CAD)

1. Exchange rate (overvalued exchange rate would cause large deficit).
2. Level of consumer spending (economic growth) and hence import spending.
3. Capital flows to finance deficit in long-term.
4. Saving rates: influencing level of import spending.
5. Relative inflation/competitiveness.
 - Depreciation: In foreign exchange market, it is a situation when domestic currency loses its value in front of a foreign currency which is market-driven.
 - Devaluation: In the foreign exchange market when exchange rate of a domestic currency is lowered by its government, it is called devaluation. Official depreciation is devaluation.
 - Appreciation: In foreign exchange market, if a free-floating domestic currency increases its value against the value of a foreign currency, it is appreciation.
 - Revaluation: A term used in foreign exchange market which means a government increasing the exchange rate of its currency against any foreign currency. It is official appreciation.
 - Exchange rate And exchange rate is the price at which one currency is converted into or exchanged for another currency.

Various exchange rate mechanisms:

1. **Floating exchange rate:** Forces of demand and supply determine the valuation and role of monetary authority is nil.
2. **Fixed exchange rate:** central bank artificially and arbitrarily fixes the exchange rate irrespective of market forces.

3. **Pegged float exchange rate:** A currency is pegged to international hard currency.
4. **Managed float exchange rate:** Exchange rate is largely market determined but the central bank manages the rate in specific band.
5. **Nominal Effective Exchange Rate (NEER)** is the weighted average of bilateral nominal exchange rates of the rupee in terms of foreign currencies. It is simple and direct for example one US Dollar as per NEER will be, say 66 rupees.
6. **Real Effective Exchange Rate (REER)** is the weighted average of nominal exchange rates, adjusted for inflation. The indices of Nominal Effective Exchange Rate (NEER) and Real Effective Exchange Rate (REER) are used as indicators of external competitiveness by RBI.

Nominal Effective Exchange Rate (NEER): prevailing official exchange rate.

- **Real Effective Exchange Rate (REER):** inflation adjusted exchange rate.
- **LERMS (Liberalised Exchange Rate Mechanism System):** it was operationalized in 1993. India delinked its currency from the fixed currency system and moved into the era of floating exchange-rate system under it.

Convertibility

- Convertible currencies give freedom to the holder of currency to convert them freely into other currencies at the prevailing market rate.
- Current account convertibility: It refers to the freedom to convert domestic currency into foreign currency and vice versa for exports and imports, interest payments, remittances, travel, education etc.
- Capital account convertibility: It refers to the freedom to convert domestic currency into foreign currency, which implies there should be 100% FDI and FII allowed across all sectors.
- Full convertibility: It refers to the freedom to convert domestic currency into foreign currency, and vice versa for both current and capital account with least restrictions.
- Partial convertibility: the portion allowed by the government can be converted into foreign currency for current and capital purposes.

Convertibility in India

- Current account is today fully convertible (operationalised on 19 August, 1994). But in case of capital account convertibility India is still following partial current account convertibility.
Tarapore committee I and II were set up for fuller convertibility of capital accounts. Advantages of capital account convertibility,

Foreign capital for investment.

- FII flows can increase liquidity.
- Competition for domestic players.
- Technology transfer.
- Macroeconomic discipline.
- India will have wider range of choice for
- Investment and borrowing.

Extended fund Facility (EFF)

- It is a service provided by the IMF to its member countries which authorises them to raise any amount of foreign exchange from it to fulfil their BoP crisis, but on the conditions of structural reforms in the economy put by the body. It is the first agreement of its kind. India had signed this agreement with the IMF in the financial year 1981-82.
- **Hard currency:** any globally traded currency which has global demand, liquid (adequate supply) and stable (does not fluctuate)
- **Soft currency:** It is basically the opposite term for the hard currency.
- **Hot currency:** Hot currency is a term of the forex market and is a temporary name currency. for any hard
- **Heated currency:** A term used in the forex market to denote the domestic currency which is under enough pressure (heat) of depreciation due to a hard currency's high tendency of exiting the economy.

- **Cheap Currency:** If a government starts re-purchasing its bonds before their maturities (at full-maturity prices) the money which flows into the economy is known as the cheap currency, also called cheap money.
- **Dear Currency:** when a government issues bonds, the money which flows from the public to the government or the money in the economy in general is called dear currency, also called as dear money.
- **Real value of rupee:** it depends on, Demand and supply, net capital inflows, performance of economy, forex reserves, interest rate, CAD, international prices of commodities, political stability.
- **Forex reserve:** RBI holds foreign exchange reserves which are made up of, foreign currency, bank deposits, government securities, gold reserves, special drawing rights of IMF.
- **Capital control:** Any measure taken by government / central bank to limit the flow of foreign capital in and out of the domestic economy. Ex: Tobin tax, quantitative restrictions.
- **Beggar they neighbour policy:** When a country damages its competitors through a weak currency.
- **Weak currency:** Cheapens the rate of country's export, making them more attractive to international buyers.
- **Sovereign wealth fund:** It is the fund of foreign currency that is meant to be invested in global assets like, shares, bonds, energy assets etc. It diversifies the income, secure external account.
- **Internationalization of rupee:** A currency used by other countries banks, firms and citizens as financial security. Degree of internationalization depends on, traded actively, liquid and stable. Ex: US dollar, euro, yen, pound, renminbi.

14. Foreign Investment

Foreign investment involves capital flows from one country to another, granting extensive ownership stakes in domestic companies and assets.

Types of foreign investment:

1. Foreign Direct Investment (FDI)
2. Foreign Institutional Investment (FII)
3. Qualified foreign investment (QFI)
4. Foreign Portfolio Investment (FPI)

Details on each of the Foreign Investment type can be found below:

Feature	Foreign Direct Investment (FDI)	Foreign Institutional Investor (FII)	Qualified Foreign Investor (QFI)
Definition	Establishes new business operations or acquires business assets, including controlling interests in an existing Indian company	Foreign institutional investors invest in shares or bonds of Indian companies	Can invest in India without sub-account; can be an individual, group, or association
Investor Type	Foreign companies or individuals	Institutional investors like investment companies, insurance funds, etc.	Individual, group, or association resident in FATF-compliant countries
Investment Type	Establishes new operations or acquires controlling interests in existing companies	Invests in shares or bonds of Indian companies	Can invest directly in Indian markets
Establishment Year	N/A	N/A	Introduced in 2002
Operations	Establishes new business operations or acquires controlling interests	Invests in shares or bonds	Can invest without sub-account
Investor Eligibility	Foreign companies or individuals	Only institutional investors allowed	Must be resident in FATF-compliant country
Market Entry	Establishes business presence	Direct investment in Indian stock market	Direct investment capability
Regulatory Context	Regulated by sectoral laws and guidelines	Regulated by SEBI and RBI	Subject to FATF compliance standards

Difference between FDI and FPI

Foreign Direct Investment (FDI)	Foreign Portfolio Investment (FPI)
Investment in productive assets (e.g., plant and machinery) for a business	Investment in financial assets (e.g., stocks, bonds, mutual funds)
Provides ownership and management rights	Provides only ownership rights, not management rights
Involves engagement in decision-making of the firm	Does not involve decision-making in the firm's operations
Typically has a long-term approach	Can be short-term, although some investors may have a long-term strategy
Investors cannot easily depart from the country	Investors can easily exit or change their investments
Generally involves a stake greater than 10% of the firm	Generally involves a stake less than 10% of the firm

Investments through Participatory notes (PN), (ADR) and (GDR)

- **Participatory notes** also referred to as P-Notes, or PNs, are financial instruments required by investors or hedge funds to invest in Indian securities without having to register with the Securities and Exchange Board of India (SEBI).
- **ADR (American receipts) and GDR Depository (Global depository receipts)** are commonly used by the Indian companies to raise funds from the foreign capital market. While ADR is traded on US stock exchanges, GDR is traded on European stock exchanges.
- **Department of Industrial policy and promotion (DIPP), Ministry of Commerce and industry.**
- The Department of Industrial Policy & Promotion was established in 1995 and has been reconstituted in the year 2000 with the merger of the Department of Industrial Development

FATF

- The FATF is an inter-governmental body that works to set standards and promote effective implementation of legal, regulatory and operational measures for combating money laundering, terrorist financing and other related threats to the integrity of the international financial system.
- A country is put on the grey list when it fails to curb terrorism financing and money laundering.
- Putting a country on the blacklist means shutting all Doors to international finance for that country.

Functions:

- Formulation of Foreign Direct Investment (FDI) Policy and promotion, approval and facilitation of FDI.
- Encouragement to foreign technology collaborations at enterprise level and formulating policy parameters for the same.

Theories of International Trade

1. **Mercantilist Theory:**
 - From 16th to 18th century, economists mercantilism. believed in
 - A nation's power and wealth is best served by increasing exports and receiving payments in gold, silver and precious metals.
 - Therefore, any import was seen as loss of nations wealth in gold payment.
2. **Adam Smith's theory of Absolute Cost Advantage:**
 - The theory tells us that an individual, business, or country is said to have an absolute advantage if it can produce a good at a lower cost than another individual, business, or country.
 - Theory assumes that; There are no production costs except labourers; no transport cost and there is no free trade.
3. **David Ricardo's theory Comparative Advantage: of**
 - The theory attributed the cause and benefits of international trade to the differences in the relative opportunity costs (costs in terms of other goods given up) of producing the same commodities among countries.

15. Economic Integration

Economic integration and trade agreements

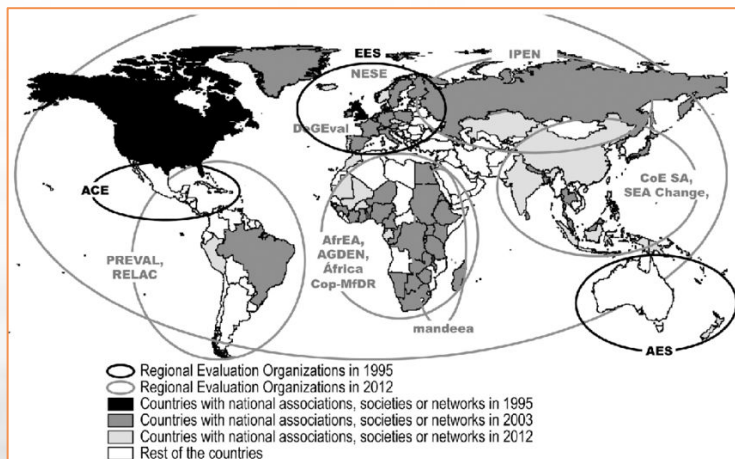
Economic integration refers to trade unification between different states by the partial or full abolishing of customs tariffs on trade taking place within the borders of each state.

Advantages

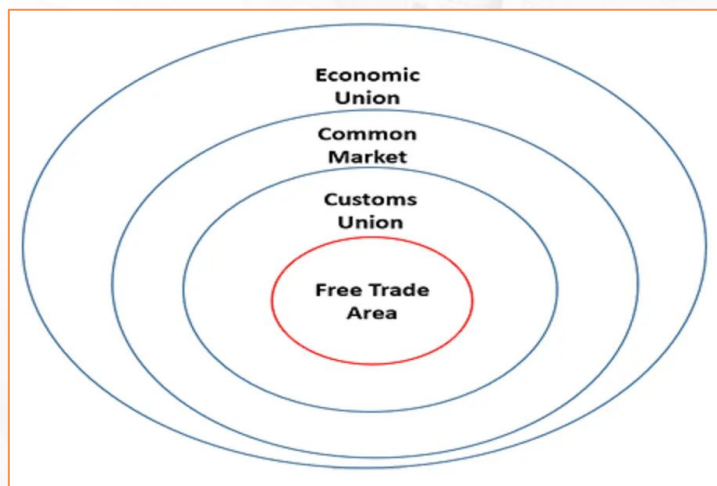
1. Increases the combined economic productivity of the countries - easier access of goods and services
2. It increases competitiveness.
3. Economic integration can broaden markets, boost employment, and spur political cooperation
4. Regions may agree to economic integration to better serve their citizens.
5. Political countries cooperation among can improve because of stronger economic ties, which can help resolve conflicts peacefully and lead to greater stability.

What is a Trade Agreement?

- A trade agreement is a contract / agreement / pact between two or more nations that outlines how they will work together to ensure mutual benefit in the field of trade and investment..



Various levels of Economic Integration



PTA – Preferential Trade Agreement

- A preferential trade agreement, is a trading bloc that gives preferential access to certain products from the participating countries. This is done by reducing tariffs but not by abolishing them completely. A PTA can be established through a trade pact. It is the first stage of economic integration. For example,
- Asia-Pacific Trade Agreement (APTA): formerly known as the Bangkok Agreement, was signed on 31st of July 1975 as an initiative of the United Nations Economic and Social Commission for Asia and the Pacific (ESCAP). ESCAP is the regional development arm of the United Nations for the Asia- Pacific region.
- India-Mercosur Trade Preferential Agreement (PTA): Mercosur is a sub-regional bloc with its member countries full members are Argentina, Brazil, Paraguay, Uruguay and Venezuela.

FTA-Free Trade Agreement

- A free-trade area is a trade bloc whose member countries have signed a free-trade agreement (FTA), which eliminates tariffs, import quotas, and preferences on most (if not all) goods and services traded between them. For example,
- Evolution of SAPTA to SAFTA (South Asian PTA to FTA) ASEAN FTA (Trade agreement within the nations) Southeast asian

CECA (Comprehensive Economic Cooperation Agreement) / CEPA (Comprehensive partnership Economic Agreement):

- When the countries go beyond FTA and agree for a greater degree of economic integration which extends to capital and human resources, and to expand trade and investment, it would result in CECA or CEPA.
- CEPA has a bit wider scope than CECA. While CECA come first with elimination of tariffs, CEPA comes later including trade in services and investments. For example, India has signed CECA with Singapore and CEPA with South Korea

Customs Union

- An agreement among countries to have free trade among themselves and to adopt common external barriers against any other country interested in exporting to these countries. For example,
- **Southern Common Market Mercosur** (Argentina; Bolivia; Brazil; Paraguay; Uruguay; and Venezuela)
- **Gulf Cooperation Council (GCC)** - Bahrain, Kuwait, Oman, Qatar, Saudi Arabia, and the United Arab Emirates.
- **East African Community (EAC)** composed of 5 countries in the African Great Lakes region in eastern Africa: Burundi, Kenya, Rwanda, Tanzania, and Uganda.

Common Market

- A type of custom union where there are common policies on product regulation, and free movement of goods and services, capital and labor.

Economic Union

- An economic union is a type of trade bloc which is composed of a common market with a customs union. The participant countries have both common policies on product regulation, freedom of movement of goods, services and the factors of production (capital and labour) and a common external trade policy.

Economic and Monetary Union

- When an economic union involves unifying currency, it becomes an economic and monetary union. For example, European union.

RCEP (Regional Comprehensive Economic Partnership)

It is a proposed free trade agreement between ASEAN countries Australia, China, Indian, Japan, South Korea and New Zealand. RCEP aims to boost goods trade by eliminating most tariff and non-tariff barriers - a move that is expected to provide the region's consumers greater choice of quality products at affordable rates

India did not join the RCEP for the following reasons;

- Around 65% tariff lines to be removed for imports from Japan and Korea.
- 80% tariff lines be abolished for imports from ASEAN
- India worried that China would dump its low-cost steel and other products that harms our domestic industries.

Few agreements which have been in the news recently

Trade Agreement	Countries Involved	Features
Transatlantic Trade and Investment Partnership (TTIP)	European Union and United States	Aims to promote trade and multilateral economic growth. Seeks to create a large economic bloc by enhancing regional connectivity and boosting trade and investment between the EU and the US.
Regional Comprehensive Economic Partnership (RCEP)	Brunei, Cambodia, Indonesia, Laos, Malaysia, Myanmar, Philippines, Singapore, Thailand, Vietnam, Australia, China, Japan, South Korea, New Zealand	The largest economic bloc, focusing on strategic partnership, regional connectivity, and trade and investment promotion among the member countries.
Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP)	Australia, Brunei, Canada, Chile, Japan, Malaysia, Mexico, New Zealand, Peru, Singapore, Vietnam	The third-largest free-trade area in the world by GDP, removing tariffs on an estimated 95% of goods traded between member countries.

16. WTO: Evolution and Contemporary Issues

Background of International Trading Regime after World War II

In 1947, 23 countries arrived at an agreement, namely, **General Agreement on Tariffs and Trade (GATT)**. GATT established a **free and fair international regime** based on dismantling of trade barriers -- tariff (high duties regime) and non-tariff (quota regime). The agreement came into force in 1948 and India was a founder member.

Emergence of World Trade Organisation (WTO)

- Uruguay Round of GATT was concluded in 1994 with Marrakesh Treaty and this treaty laid down the foundation of WTO in 1995 by replacing GATT. first round was the Doha round which started in 2001 and is yet to complete. Headquarter is in Geneva, Switzerland. It has 164 members as of 2017. Afghanistan became 164th member in 2016.

Difference: WTO v/s GATT

GATT	WTO
Treaty	Organization
Did not have a formal dispute settlement mechanism	Has a structured dispute settlement mechanism
Focused primarily on traditional trade issues like tariffs and non-tariff barriers	Covers a broader range of issues including intellectual property rights (IPR), services, and more
Had a small secretariat with limited functions	Has a full-fledged secretariat with extensive administrative and implementing functions
Lacked an institutional framework to enforce and implement rules	Established a solid institutional foundation to implement and oversee trade rules

Guiding principles of WTO Principles guiding the WTO are:

1. Non-Discriminatory and rule based trading system where foreign goods and services should receive the same treatment as domestically sourced ones.
2. Trade barriers should be dismantled and international trade should be free.
3. Developing countries should receive preferential terms of trade.

Principle	Description
Most Favoured Nation (MFN)	- Purpose: Eliminate discriminatory policies among members. - Rule: Any special treatment extended to one member must be extended to all members. - Exceptions: Differential treatment under Free Trade Agreements and National Security exceptions.
National Treatment	- Rule: No discrimination between imported and domestically produced goods - Purpose: Ensure that foreign products are treated no less favorably than domestic products once they enter a market.
Democratic Principle	- Principle: "One nation, one vote, one value." - Purpose: Ensure equal representation and voting power for all member countries in decision-making processes.
Special and Differential Treatment	- Purpose: Provide developing countries with preferential trade terms. - Rule: Allow for flexibility and support for developing nations within the WTO framework.

Governing Structure of WTO

Level	Body/Function	Details
Level 1	Ministerial Conference	- Highest decision-making body. - Meets twice a year. - Represents India: Minister of Commerce. - Determines major policies and decisions.
Level 2	General Council	- Performs day-to-day work and implements decisions from the Ministerial Conference. - Also meets as the Trade Policy Review Body. - Conducts trade policy reviews of WTO members.
Level 2	Dispute Settlement Body (DSB)	- Handles and resolves trade-related grievances among WTO members.
Level 3	Councils of Trade	- Work under the General Council. - Council for Trade in Goods - Council for TRIPS (Trade-Related Aspects of Intellectual Property Rights) - Council for Trade in Services
Head of WTO	Director General	- Elected by the Ministerial Conference. - Serves a 4-year term. - Manages the Secretariat and oversees the organization's operations.

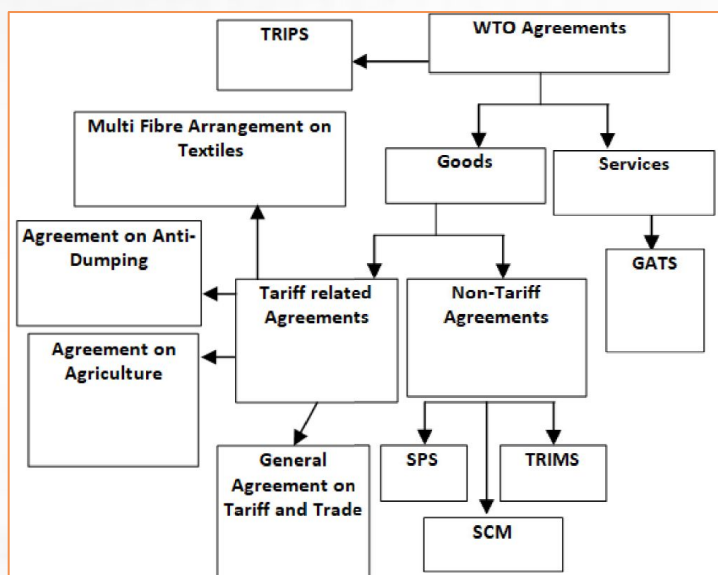
Chronology of Trade Negotiations under WTO

1. 1996 1st Ministerial conference in Singapore led to Birth of "Singapore issues"
2. 2001 4th Ministerial conference Doha Development Round
3. 9th Ministerial Summit in Bali in 2003
4. 10th Ministerial Summit in Nairobi
5. 11th Ministerial Summit in Buenos Aires, Argentina in 2017

6. 12th Ministerial Summit in Kazakhstan. However, it has refused to host the conference because of COVID 19 PANDEMIC. In April 2020, Kazakhstan informed WTO members that it remained ready to host MC12 in June 2021 in Nur-Sultan and asked the General Council chair to consult with WTO members on its proposal.

Objectives of WTO

1. To improve the standard of living of people in the member countries.
2. To ensure full employment and broad increase in effective demand.
3. To enlarge production and trade of goods.
4. To increase the trade of services.
5. To ensure optimum utilization of world resources.
6. To protect the environment.
7. To accept the concept of sustainable development.



WTO Agreements

Agreement on Agriculture:

- It is aimed to remove trade barriers and to promote transparent market access and integration of global markets

- It has 3 pillars: Domestic Support, Export Subsidies, Market Access.

1. Domestic Support refers to domestic subsidies that a government provide to a farmer such as fertilizer, power etc. These subsidies are grouped into 3 classes or boxes: Green Box, Blue Box and Amber Box.

- **Green Box** includes
- subsidies on which there are no limits as they are not considered as trade distorting or they minimally distort the international trade. These subsidies government must be funded. These subsidies in general are not directed at particular products (unlike MSP) and they may include income support that is decoupled from production level or prices (Ex: Telangana's Rythu Bandhu KISAN). Scheme, PM-
- Amber Box subsidies cover all domestic support measures considered to distort production and trade. These are required to be maintained within 5- 10% of production value (5% for developed countries and 10% for developing countries).
- Reduced based on a formula called "Aggregate Measure of Support" Ex: MSP- minimum support price
- Blue Box subsidies are direct payments under production limiting program. There is no limit. It is also considered trade distorting Ex: subsidies linked with acreage or number of animals

2. Export Subsidies

- Agricultural export subsidies are to be limited by developed countries either in value or volume terms so that international prices are not lowered below a point and exports and domestic markets of the developing countries are not priced out. Nairobi Ministerial in 2015 decided to phase them out.

3. Market Access

- It means that all member countries should throw open their domestic market to agricultural imports by reduction of tariff and removal of non-tariff barriers. Hence, members should undertake:
 - Tariffication - to convert non-tariff barriers (quotas) to tariffs (like
 - Bind their tariff to agree to a limit that is bounded rate and not increase the rates beyond them.

Special Products

These are particular agricultural importance Products of to farming communities in developing countries for reasons of food security, livelihood, security and rural development. Under the Doha Development Round, it was decided that the Special products would attract lower levels of tariff reduction commitment than other agricultural products so as to protect and enhance livelihood and food security in domestic economy.

Special Product regime is a component of WTO's **Special and Differential (S & D)** provision and is available only to developing country members of WTO.

The current discussions over Special Products are mainly focused on:

- The number of products to be given Special Product status
- The modalities to select Special Products

Special Safeguard Mechanism

- SSM is a trade defence mechanism to essentially counter the volatility of international commodity prices.

- SSM provisions are available to all developing and least developed country members of WTO. Ministerial Decision at Nairobi in 2015 recognizes that the developing members will have the right to temporarily increase tariffs in face of import surges by using an SSM.

TRIPS Agreement

It lays down legal standards to protect intellectual property by way of copyright rights; geographical indications; industrial designs; integrated circuit layout-designs; patents; monopolies for developers of new plant varieties; trademarks. It also regulates dispute resolution procedures and enforcement procedures.

Type of Intellectual Property Right	Explanation
Patent	It may be granted for a new, useful, and non-obvious invention, and gives the patent holder an exclusive right to commercially exploit the invention for a certain period (typically 20 years).
Copyright	It is given for creative and artistic works (e.g., books, movies, music) and gives the copyright holder the exclusive right to control the reproduction or adaptation of such works for a certain period.
Trademark	It is a distinctive sign which is used to distinguish the products or services of different businesses.
Industrial Design	It protects the form of appearance, style, or design of industrial objects (e.g., spare parts, textiles).

- Patent is an incentive to innovate and invent and thus sustains R&D. In return for the patent, inventor offers the knowledge with commercial use to be put in public domain after the expiry of the patent.
- Under WTO, patents can be granted for process or product. Product patent provide for absolute protection of product exhausting all processes that may lead to the product, whereas process patents provide protection in respect of a specific method of production.
- Under TRIPS, only product patents must be awarded for pharmaceuticals and food, chemicals. These patents should be valid for 20 years.
- From the above discussion, it is clear that product patent has the potential to raise prices, safeguards have been built in the TRIPS Agreement called: "Parallel Imports" and "Compulsory Licensing".
- Parallel Importation is the importation of drugs at a lower price to meet a public health crisis if the company holding the patent is unwilling to provide the patented drug at lower price.
- Compulsory Licensing means that the government of a country facing health crisis can ask for production and sale of drugs in the country at concessional price based on a compulsory license that it issues. This allows generic copies of a patented product to be produced domestically, with compensation paid to the patent holder.

Anti-Counterfeiting Trade Agreement

- It is a multinational treaty for the purpose of establishing international standards for intellectual property rights enforcement.
- It aims to establish an international legal framework for targeting counterfeit goods, generics medicines and copyright infringement on the Internet, and would create a new governing body outside existing forums, such as WTO, World Intellectual Property Organisation or UN. It was signed in 2011.

Sui Generis System

- TRIPS agreement provides sui generis option regarding patent laws. Sui generis means generating by itself or of itself. It means that they can protect inventions either on the basis of TRIPS pattern of patents or any other indigenous system (sui generis).

Geographical Indications

- There are some goods that owe their properties (e.g., its special quality or reputation) to the region in which they originate and are nurtured. Such products are given Geographical Indications. GI is used to identify agricultural, natural or manufactured goods.
- In India, Geographical Indications registration is administered by the Geographical Indications of Goods (Registration and Protection) Act, 1999 which came into force with effect from September 2003. The first product in India to be accorded with GI tag was Darjeeling tea in the year 2004-05.
- There are a number of benefits that GI confers on a particular good:
 1. It confers legal protection to GI in India.
 2. Prevents unauthorised use of a Registered Geographical Indication by others.
 3. It provides legal protection to Indian Geographical Indications which in turn boost exports.
 4. It promotes economic prosperity of producers of goods produced in a geographical territory.
- GI generally is not awarded to an individual. It is given for a period of 10 years and may be renewed for another 10 years on expiry. GI prevents spurious goods from entering the market. It helps maintain quality. There is greater accountability, too. It boots exports.

Sanitary and Phyto-sanitary Measures

- It is an international treaty under WTO that aims to set constraints on member state's policies relating to food safety (bacterial, pesticides, inspection and labelling) as well as animal and plant health (Phyto- sanitary) about imported pests and diseases.

General Agreement on Trade in Services (GATS)

- It is the set of regulations that governs trade in services among WTO members.

GATS cover four modes of supply for the delivery of services in international trade:

Criteria	Description
Supplier Presence	Service supplier not present within the territory of the member
Mode-1: Cross Border Supply	Service delivered outside the territory of the Member, in the territory of another member, to a service consumer of the member.
Mode-2: Consumption Abroad	Service delivered within the territory of the Member, from the territory of another member
Mode-3: Commercial Presence	Service delivered within the territory of the Member, through the commercial presence of the supplier
Service Supplier Presence	Service supplier present within the territory of the member

Safeguard Duty

- Under WTO regime, a safeguard is used to restrain international trade in order to protect a certain home industry from foreign competition like Dumping, Subsidy that attracts countervailing duty.

Countervailing Duty (CVD)

- Many countries subsidise their products and make them cheap to be exported. In such cases, importing country can take the recourse to CVDs. Thus, CVDs are anti-subsidy duties. These are import duties to neutralize the negative effects of subsidies.
- Director General of Anti-Dumping and Allied Duties (DGAD) recommends the duty but Finance Ministry imposes it.

Anti-Dumping Duty

- Dumping is the act of charging a lower price in a foreign market for a product than the price of the same product in a domestic market or in a 3rd country market. In simple words, it is selling at less than fair value.
- Under WTO, dumping is prohibited if it causes or threatens to cause injury to a domestic industry in the importing country. Otherwise, it is not prohibited.
- Director General of Anti-Dumping and Allied Duties initiates the imposition of Anti-dumping duty.

Overview of WTO Ministerial Conferences and Contemporary Issues

Round of Negotiation	Aim	Package	Outcome
Doha Round	- Improve trading prospects of the developing world. - Started at the 4th Ministerial Conference in Doha, Qatar, in 2001.	Single undertaking: "Nothing is agreed until everything is agreed."	Members committed to negotiate on: Agriculture: Market access, reductions in export subsidies, reductions in domestic support that distort trade. Market Access for Non-Agricultural Products: Cutting tariff and non-tariff barriers. TRIPS: Support public health by promoting access to medicines and the creation of new ones. Electronic Commerce: Non-imposition of customs duties on electronic transmissions agreed at the 2nd MC in 1998 to continue. Trade and Environment: Launch negotiations on the relationship between WTO rules and trade obligations under environmental agreements. Important issues were fisheries subsidies and environmental G&S. Trade Facilitation: Negotiate to conclude an agreement.
July 2008 Package	To conclude Doha Development Agenda.	The draft could not be finalized due to wide divergences among members.	Agriculture: Developed countries to end export subsidies by 2013, revisions and tighter monitoring of Green Box, cap on Blue Box subsidies, negotiate modalities of Special Safeguard Mechanism. Non-Agricultural Market Access (NAMA): Swiss formula to be used for NAMA, different tariff cuts for developed and developing countries specified in 2008. Trade Facilitation: Developing countries agreed if safeguards are provided.

Overview of WTO Ministerial Conferences and Contemporary Issues

Round of Negotiation	Aim	Package	Outcome
9th Ministerial Summit – "Bali Package" (2013)	Negotiate towards concluding Doha Development Agenda.	Agriculture: Interim peace clause on public stockholding agreed, permanent solution to be found by 2017, developing countries have the right to recourse to Special Safeguard Mechanism but no agreement over "implementation modalities." SMEs (Small and Medium Enterprises): Keep negotiating. Trade Facilitation: Negotiations on the agreement concluded. Electronic Commerce: Keep negotiating.	Negotiations towards concluding Doha Development Agenda continued.
10th Ministerial Summit – "Nairobi Package" (2015)	No explicit commitment to Doha Development Agenda (DDA). Declaration recognized divergence in viewpoint among members over DDA.	Agriculture: Keep engaging to arrive at a permanent solution on public stockholding (no time-frame specified), special safeguard mechanism (no time-frame specified to finalize implementation modalities), immediate elimination of export subsidies by developed countries agreed upon. SMEs (Small and Medium Enterprises): Keep negotiating. Electronic Commerce: Keep negotiating.	No explicit commitment to Doha Development Agenda, recognized divergence in viewpoint among members.

- It has been said that the Doha Agenda lost its relevance after 2008 Ministerial summit because, the issues of relevance for developing countries were side-lined and new issues which were important to developed world are introduced and emphasized.
- This became explicit in **Nairobi Declaration** which did not mention unanimous commitment to Doha Agenda.
- Principle of reciprocity was side-lined: **Trade Facilitation Agreement was concluded while developed countries went back on their promise of permanent solution to public stock holding.**

Agenda for 11th Ministerial Conference at Buenos Aires, 2017:

Developed Countries	Developing Countries
Equal importance to "new issues" along with contentious ones under Doha Agenda.	Bringing Doha Agenda back to the table and any negotiation on "new issues" to start after conclusion of Doha Agenda, that too with "consensus."
Negotiation on "Domestic support" under Agreement on Agriculture to phase out trade-distorting subsidies.	Reforming Agreement on Agriculture to make it more equitable.
Negotiate on Fisheries subsidies leading to overfishing and IUU (Illegal, unreported, and unregulated) fishing.	Securing mandate on Special Safeguard Mechanism.
Negotiate applicability of differential treatment to fast-growing economies such as India and China.	Negotiating permanent solution to the issue of Public Stockholding.

Who said what?

Aspect	Details
Reform of Agreement on Agriculture	• West provides subsidies amounting to billions of dollars under green box. • Studies have pointed out that green box subsidies are trade-distorting. Thus 'Green Box' needs to be reformed. • Public stockholding subsidies are calculated at 1986-88 price level and on total production value. 30-year-old price reference level is unrealistic today; subsidies must be calculated on quantity procured.
Public Stockholding	• Interim Peace clause in its current form is difficult to invoke due to conditions attached. Hence, G33 called for "legal certainty."
Special Safeguard Mechanism	• It needs to be negotiated and agreed upon at the earliest.

17. Reports and Indices

Financial Organisation and Report

Organization	Reports/Indexes
World Bank	1. Ease of Doing Business 2. World Development Report 3. Universal Health Coverage Index 4. Remittance Report 5. Ease of Living Index 6. India Development Update 7. Global Economic Prospect (GEP) Report 8. Global Financial Development Report 9. Logistics Performance Index
International Monetary Fund (IMF)	1. Global Financial Stability Report 2. World Economic Outlook
Organisation of Economic Development and Cooperation (OECD)	1. The Programme for International Student Assessment (PISA) 2. Global Index of Countries 3. Government at a Glance Report
World Trade Organization (WTO)	1. World Trade Outlook Indicator
Bank for International Settlements (BIS)	1. Global Financial System Report
Financial Action Task Force (FATF)	1. Global Money Laundering Report

Organization	Reports/Indexes
World Economic Forum (WEF)	1. Global Information Technology Report 2. Travel and Tourism Competitiveness Report 3. Global Competitiveness Report 4. Enabling Trade Report 5. Global Environment Performance Index 6. World Power Language Index 7. Inclusive Development Index 8. Human Capital Index 9. Energy Transition Index 10. Global Manufacturing Index 11. Global Gender Gap Index 12. Global Hunger Index, 2017 (Undernourishment, Child Wasting, Child Stunting, Child Mortality)
United Nations Development Programme (UNDP)	1. Gender Inequality Index
United Nations Educational, Scientific and Cultural Organization (UNESCO)	1. Gender Parity Index 2. Global Education Monitoring Report
UN – Sustainable Development Solutions Network (SDSN)	1. World Happiness Report
United Nations Environment Programme (UNEP)	1. Actions on Air Quality 2. Global Environment Outlook 3. Emission Gap Report
Food and Agriculture Organization (FAO)	1. World State of Forest Report 2. Global Food Price Index
World Health Organization (WHO)	1. World Health Statistics 2. World Tuberculosis Report 3. Ambient Air Pollution Report

Non – Profit Organisations

Organization	Reports/Indexes			
Transparency International	1. Global Corruption Report (GCR) 2. Corruption Perception Index			
International Food Policy Research Institute (IFPRI)	1. Global Hunger Index			
Index	Description	Publishing Organization	Recent Ranking (India)	Key Details
Gender Inequality Index	Measures gender-based disparities in reproductive health, empowerment, and labour market participation.	United Nations Development Programme (UNDP)	122 out of 162 countries (2016)	Reflects a broad range of gender inequalities and gaps in various dimensions.
Global Gender Gap Index	Assesses progress towards parity between men and women in economy, education, health, and political representation.	World Economic Forum	108 out of 144 countries (2017)	The index ranges from 0 (complete inequality) to 1 (complete parity).
Gender Parity Index	Measures the relative access to education for males and females, including primary, secondary, and tertiary education.	UNESCO	Not specified in recent data	Calculated as the ratio of girls to boys in different education levels.

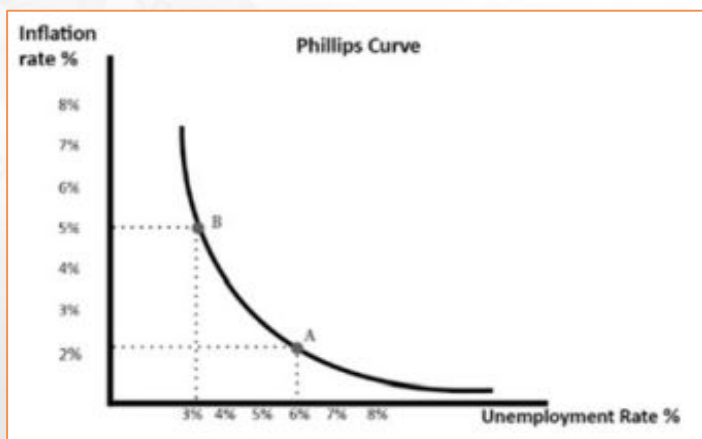
Basis for Comparison	Wholesale Price Index (WPI)	Consumer Price Index (CPI)	Index of Industrial Production (IIP)	Annual Survey of Industries (ASI)	Purchasing Managers' Index (PMI)
Meaning	Measures the average change in prices of commodities at wholesale level.	Indicates the average change in prices of commodities at retail level.	Measures short-term changes in the volume of production of industrial products.	Provides information on important characteristics of the registered manufacturing sector.	Index of the prevailing direction of economic trends in manufacturing and service sectors.
Published by	Office of Economic Advisor	Central Statistics Office	Central Statistical Organisation (CSO)	Central Statistics Office (CSO) and Industrial Statistics (IS)	Published by Japanese firm Nikkei; compiled by Market Economics
Covers	Goods only	Goods and services	Industrial sector	Manufacturing sector	Manufacturing and services sectors
Focuses on	Prices of goods traded between business houses.	Prices of goods purchased by consumers.	Output, New Orders, Employment, etc.	Output, investment, employment, and costs in the manufacturing sector.	Output, New Orders, Employment, Input Costs, etc.
Base Year	2011-2012	2011-2012	2011-2012	2013-2014	NA
Share in the Index	Primary Articles (22.62%), Fuel and Power (13.15%), Manufactured Products (64.23%).	Food and beverages have maximum weightage.	Manufacturing (77%), Mining (14.7%), Electricity (7.9%)	Among the eight core industries: Refinery products (28%), Electricity (19%), Steel (17%), etc.	NA

18. Market Structure

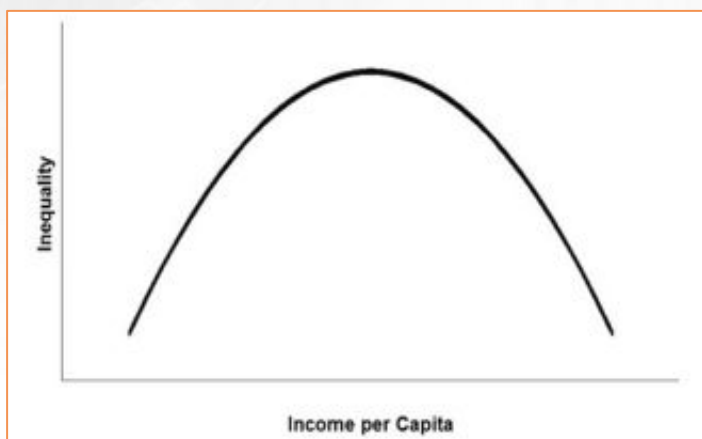
Market Structure	Definition	Characteristics	Example
Monopoly	A market structure where a single company or group owns all or nearly all of the market for a particular product or service.	1. Single seller controls the entire market. 2. High barriers to entry. 3. Unique product with no close substitutes. 4. Price maker.	Indian Railways, which is the sole provider of rail transport in India.
Oligopoly	A market structure where a small number of firms have a large market share.	1. Few dominant firms. 2. Products may be similar or differentiated. 3. High barriers to entry. 4. Firms may collude to set prices.	Indian telecom industry with major players like Airtel, Jio, and Vodafone-Idea.
Perfect Competition	A market structure characterized by a large number of small firms, homogeneous products, and free entry and exit.	1. Many buyers and sellers. 2. Homogeneous products. 3. No barriers to entry or exit. 4. Firms are price takers.	Agricultural markets in India, such as those selling wheat or rice.
Monopolistic Competition	A market structure where many companies sell products that are similar but not identical.	1. Many sellers. 2. Product differentiation. 3. Some control over pricing. 4. Low barriers to entry.	Clothing industry in India, where brands sell differentiated products.
Monopsony	A market structure where there is only one buyer for many sellers.	1. Single buyer controls the market. 2. Many sellers. 3. Buyer has significant power over prices.	A large tea estate in Assam buying tea leaves from numerous small farmers.
Oligopsony	A market structure where a small number of buyers exert significant control over many sellers.	1. Few buyers. 2. Many sellers. 3. Buyers have significant power over pricing.	Indian tobacco industry where a few companies purchase tobacco leaves from many farmers.
Natural Monopoly	A market where a single firm can supply the entire market at a lower cost than two or more firms could.	1. High initial costs and significant economies of scale. 2. Single supplier for efficiency. 3. Regulated by the government.	Electricity distribution in a city where it is more efficient for one company to provide the service.

19. Important Graphs & Miscellaneous

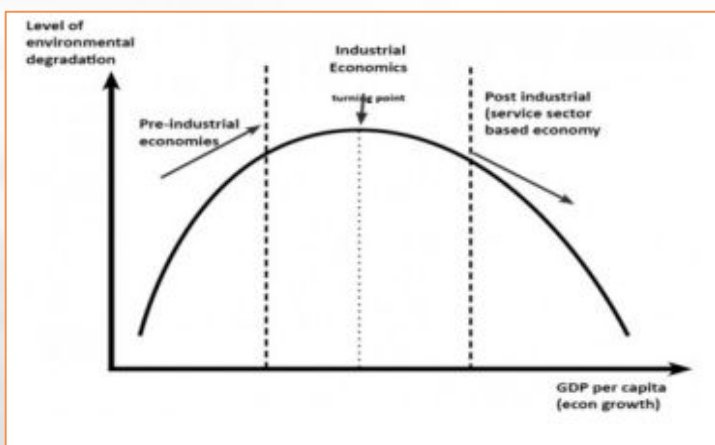
Phillips curve shows the trade-off between unemployment and inflation. It indicates that to reduce un-employment, an economy has to adjust with higher level of inflation.



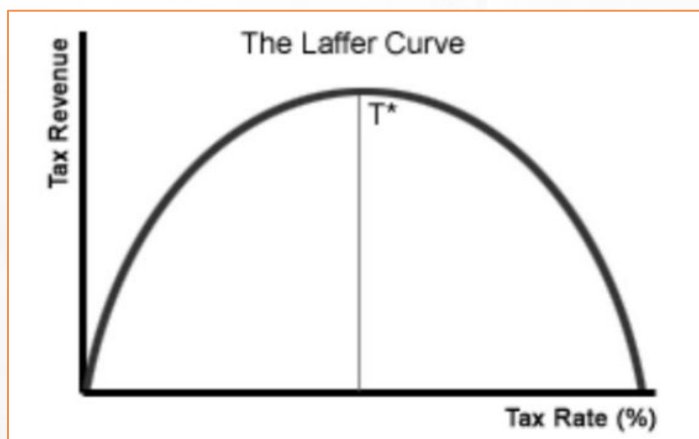
Kuznets curve explain the relationship between growth and inequality. During the initial stages of development inequality increases with economic growth.



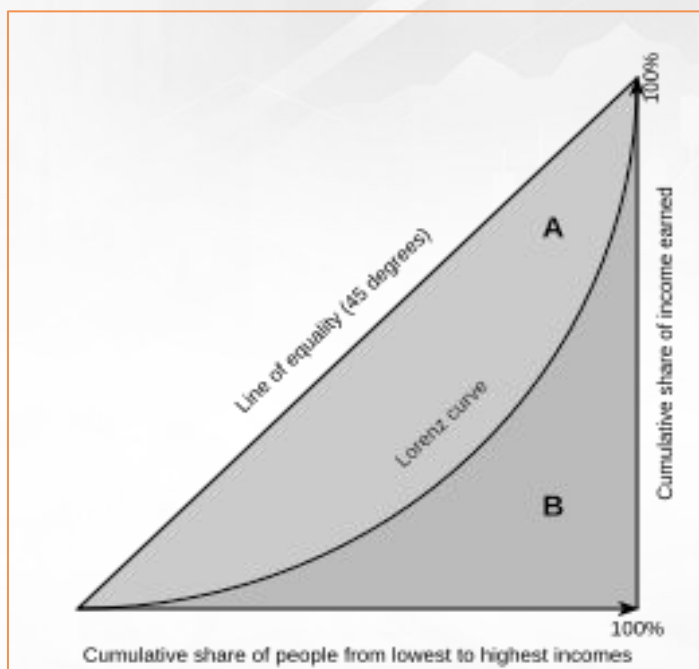
Environmental Kuznets curve explains the relationship between economic growth and environmental degradation.



Laffer curve shows the relationship between tax revenue and tax rate. Its message is that if the tax is fixed at an optimum (reasonably low levels), tax revenue will be maximum.



Lorenz curve indicate inequality in an economy. It is a graphical representation of the distribution of income or of wealth.



J curve effect: it is a theory stating that a country's trade deficit will initially worsen after the depreciation of its currency, as higher prices on imports will be greater than reduced volume of imports and growth in exports initially. When exports become price competitive and imports are reduced due to high cost, the BOP turns positive.

Keywords:

Concept	Definition	Example	Short-term Effects	Long-term Effects
Pumping In	Infusion of capital or resources into an economy or sector to stimulate growth.	Indian government's Atma Nirbhar Bharat package during COVID-19.	Boosts demand, increases liquidity, and supports struggling sectors.	Leads to sustainable growth, increased production capacity, and job creation if used wisely.
Pumping Out	Withdrawal of resources or capital from an economy or sector to control inflation or manage fiscal deficits.	RBI's sale of government securities to mop up excess liquidity.	Reduces inflationary pressures and excess liquidity.	Can slow down economic growth if done excessively, but helps maintain economic stability.
Crowding In	Increased government spending leads to increased private sector investment due to improved economic conditions.	Government investment in Bharatmala and Sagarmala projects.	Stimulates private investment and boosts economic activity.	Leads to higher productivity, better infrastructure, and sustained economic growth.
Crowding Out	Increased government borrowing drives up interest rates, reducing private sector investment.	High levels of government borrowing leading to higher interest rates.	Reduces private sector investment and can slow down economic growth.	Can lead to lower overall investment in the economy and potentially hamper growth prospects if persistent.

Interrelations

Economic Factor	Effect or Relationship
Increase in Repo Rate	When inflation is high; reduces money supply and spending to control inflation.
Decrease in Repo Rate	When inflation is low; stimulates borrowing and spending to boost economic activity.
Increase in Reverse Repo Rate	When inflation is high; encourages banks to park more funds with the central bank, reducing liquidity.
Decrease in Reverse Repo Rate	When inflation is low; provides banks with more funds to lend, stimulating economic activity.
Increase in CRR (Cash Reserve Ratio)	When inflation is very high; reduces the amount of funds banks can lend, tightening liquidity.
Decrease in CRR	When inflation is very low; increases the funds available for banks to lend, stimulating economic growth.
Bond Yields Increase	As bond prices fall; reflects higher interest rates and inflation expectations.
Bond Prices Rise	When interest rates fall; reflects lower yields and potentially lower inflation.
Increase in Taxes	Leads to lower aggregate demand and inflation; reduces disposable income.
Decrease in Taxes	Leads to higher aggregate demand and inflation; increases disposable income.

Economic Factor	Effect or Relationship
Increased Government Spending	Can lead to the crowding out effect; where increased government borrowing raises interest rates, reducing private investment.
Reduced Government Spending	Can lead to the crowding-in effect; where decreased government borrowing lowers interest rates, encouraging private investment.
Increase in Inflation	Leads to lower disposable income, higher tax collections, reduced unemployment, falling real debt levels, reduced competitiveness in external markets, and potential depreciation consequences.
Increased Fiscal Deficit	Indicates increased borrowings, may lead to higher inflation, correlated with higher interest rates, and a lower sovereign rating.
Increased External Debt	Leads to loss of sovereignty and greater vulnerability to foreign influences.
Increased Overall Debt	Leads to a higher interest burden in the future and potential debt servicing challenges.
Increased Share of Indirect Taxes	Indicator of a regressive tax regime; disproportionately affects lower-income individuals.
Increased Share of Direct Taxes	Indicator of a progressive tax regime; more equitable as higher income individuals pay a larger share.
Rupee Depreciation	Exports increase, inessential imports reduce, more FII inflows, remittances increase, debt servicing becomes costly, fiscal deficit rises, and inflation increases.
Rupee Appreciation	Booming economy, high FII inflows, lower cost of imports, export sector suffers, inflation is managed, increased competition.
Current Account Deficit	Net outflow of foreign currency, depletion of forex reserves, and potential balance of payments issues.
Large Fiscal Deficit	Macroeconomic instability, increased debt, higher interest payments, balance of payments crisis, and possible downgrading of rating.



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Notes: Edited and Illustrated by Rupam Baidya